

DINO POLSKA S.A. GROUP

CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2021

PREPARED ACCORDING TO INTERNATIONAL FINANCIAL REPORTING STANDARDS APPROVED
FOR APPLICATION IN THE EU ALONG WITH THE INDEPENDENT STATUTORY AUDITOR'S AUDIT
REPORT

This document is an unofficial translation of the official Consolidated Financial Statements of the Dino Polska S.A. Group in 2021, which has been published in the xHTML format and signed by the Management Board Members of Dino Polska S.A. using qualified electronic signatures.

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FINANCIAL HIGHLIGHTS

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2021- 31.12.2021</i>	<i>01.01.2020- 31.12.2020</i>	<i>01.01.2021- 31.12.2021</i>	<i>01.01.2020- 31.12.2020</i>
Sales revenue	13,362,012	10,125,815	2,919,063	2,263,157
Operating profit	1,023,993	837,859	223,701	187,265
Profit before tax	978,409	789,000	213,743	176,344
Net profit	805,303	643,917	175,926	143,918
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	8.21	6.57	1.79	1.47
Cash flow from operating activities	1,326,331	819,922	289,750	183,256
Cash flow from investing activities	(1,330,728)	(1,000,136)	(290,711)	(223,534)
Cash flow from financing activities	(57,406)	265,912	(12,541)	59,432
Net change in cash and cash equivalents	(61,803)	85,698	(13,501)	19,154

*In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate in 2021: PLN 4.5775/EUR
- NBP's average exchange rate in 2020: PLN 4.4742/EUR

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>As at 31.12.2021</i>	<i>As at 31.12.2020</i>	<i>As at 31.12.2021</i>	<i>As at 31.12.2020</i>
Total assets	7,168,531	5,570,510	1,558,580	1,207,097
Total non-current assets	5,183,347	4,053,812	1,126,962	878,437
Total current assets	1,985,184	1,516,698	431,618	328,660
Equity	3,070,190	2,266,563	667,520	491,151
Share capital	9,804	9,804	2,132	2,124
Non-current liabilities	1,092,804	1,223,256	237,597	265,072
Current liabilities	3,005,537	2,080,691	653,463	450,873

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 December 2021: 4.5994 PLN/EUR
- NBP's average exchange rate as at 31 December 2020: 4.6148 PLN/EUR

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

for the year ended 31 December 2021

<i>(in thousands of PLN)</i>	<i>Note</i>	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020
Continuing operations			
Sales revenue	11	13,362,012	10,125,815
Cost of sales	13	(10,038,342)	(7,521,986)
Gross profit on sales		3,323,670	2,603,829
Other operating income	13.4	14,364	7,598
Sales and marketing expenses	13	(2,181,963)	(1,668,084)
General administration expenses	13	(117,285)	(99,783)
Other operating expenses	13.5	(14,793)	(5,701)
Operating profit		1,023,993	837,859
Financial income	13.6	1,119	3,237
Financial expenses	13.7	(46,703)	(52,096)
Profit before tax		978,409	789,000
Income tax	14	(173,106)	(145,083)
Net profit from continuing operations		805,303	643,917
Net profit for the financial year		805,303	643,917
Profit attributable:			
To owners of the parent		805,303	643,917
Earnings per share:			
– basic from profit for the year attributable to owners of the parent		8.21	6.57
– basic from profit from continuing operations for the year attributable to owners of the parent		8.21	6.57
– diluted from profit for the year attributable to owners of the parent		8.21	6.57
– diluted from profit from continuing operations for the year attributable to owners of the parent		8.21	6.57

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

for the year ended 31 December 2021

<i>(in thousands of PLN)</i>	<i>01.01.2021- 31.12.2021</i>	<i>01.01.2020- 31.12.2020</i>
Net profit for the financial year	805,303	643,917
<i>Items not subject to reclassification to profit in subsequent reporting periods:</i>		
Actuarial gains/(losses) on defined benefit plans	(2,069)	362
Income tax on other comprehensive income	393	(69)
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	(1,676)	293
Net other comprehensive income	(1,676)	293
Comprehensive income for the year	803,627	644,210
 Comprehensive income attributable:		
To owners of the parent	803,627	644,210
Non-controlling shareholders	-	-
	803,627	644,210

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

as at 31 December 2021

<i>(in thousands of PLN)</i>	Note	<u>31.12.2021</u>	<u>31.12.2020</u>
ASSETS			
Property, plant and equipment	18	4,911,353	3,749,480
Right-of-use assets	18	139,931	184,538
Intangible assets	19.1	96,947	99,050
Other non-financial assets	20	-	6
Deferred tax assets	21	35,116	20,738
Total non-current assets	14.3	5,183,347	4,053,812
Inventories	22	1,373,463	875,147
Trade and other receivables	23	144,012	86,822
Income tax receivables		55	2
Other non-financial assets	21	47,712	73,367
Other financial assets		1,327	942
Cash and cash equivalents	24	418,615	480,418
Total current assets		1,985,184	1,516,698
TOTAL ASSETS		7,168,531	5,570,510
EQUITY AND LIABILITIES			
Equity (attributable to owners of the parent)		3,070,190	2,266,563
Share capital	25.1	9,804	9,804
Supplementary capital	26	2,707,720	2,063,322
Retained earnings		345,166	185,937
Other equity		7,500	7,500
Non-controlling interests		-	-
Total equity		3,070,190	2,266,563
Interest-bearing loans and borrowings	27	583,014	725,851
Lease liabilities	27	46,621	67,876
Liabilities by virtue of outstanding securities	19	450,000	419,936
Other liabilities	27	150	180
Provisions for employee benefits	28	4,827	2,844
Deferred tax liability	14.3	8,187	6,555
Accruals and deferred revenue	29.3	5	14
Total non-current liabilities		1,092,804	1,223,256
Trade and other payables	29.1	2,454,051	1,695,163
Current part of interest-bearing loans and borrowings	29.2	196,169	216,868
Lease liabilities	27	27,721	42,249
Liabilities by virtue of outstanding securities	19	171,642	930
Income tax liabilities	27	93,017	80,509
Accruals and deferred revenue	29.2	60,993	43,640
Provisions for employee benefits	29.3	1,944	1,332
Total current liabilities	28	3,005,537	2,080,691
Total liabilities		4,098,341	3,303,947
TOTAL EQUITY AND LIABILITIES		7,168,531	5,570,510

CONSOLIDATED STATEMENT OF CASH FLOWS**for the year ended 31 December 2021**

<i>(in thousands of PLN)</i>	<i>Note</i>	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020
Cash flow from operating activities			
Profit before tax		978,409	789,000
Adjustments in items:		347,922	30,922
Depreciation and amortization	13.1	247,343	198,146
(Profit)/loss on investment activity		7,423	2,264
Movement in receivables	30	(24,880)	(43,201)
Movement in inventories		(498,316)	(251,152)
Movement in liabilities, except for loans and borrowings	30	728,449	197,916
Interest revenue		(998)	(1,131)
Interest expense		46,645	52,012
Movement in prepayments, accruals and deferred revenue		14,733	13,060
Movement in provisions	30	2,595	1,326
Income tax paid		(173,004)	(138,680)
Other		(2,068)	362
Net cash from operating activities		1,326,331	819,922
Cash flow from investing activities			
Sale of property, plant and equipment and intangible assets		4,263	1,403
Purchase of property, plant and equipment and intangible assets		(1,335,604)	(1,002,025)
Interest received		998	1,131
Repayment of extended borrowings		1,415	825
Granting of loans		(1,800)	(1,470)
Net cash from investing activities		(1,330,728)	(1,000,136)
Cash flow from financing activities			
Payment of lease liabilities		(47,224)	(58,335)
Proceeds from obtained loans/borrowings		57,636	401,369
Repayment of loans/borrowings		(221,173)	(175,110)
Issue of debt securities		200,000	250,000
Redemption of debt securities		-	(100,000)
Interest paid		(46,645)	(52,012)
Net cash from financing activities		(57,406)	265,912
Net increase in cash and cash equivalents		(61,803)	85,698
Cash at the beginning of the period		480,418	394,720
Cash at the end of the period	24	418,615	480,418

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2021

(in thousands of PLN)	Attributable to owners of the parent					
	Note	Share capital	Supplementary capital	Retained earnings	Other equity	Total
As at 1 January 2021		9,804	2,063,322	185,937	7,500	2,266,563
Net profit for 2021		-	-	805,303	-	805,303
Net other comprehensive income for 2021		-	-	(1,676)	-	(1,676)
Comprehensive income for the year		-	-	803,627	-	803,627
Distribution of the 2020 financial result		-	644,398	(644,398)	-	-
As at 31 December 2021	25	9,804	2,707,720	345,166	7,500	3,070,190
As at 1 January 2020		9,804	1,652,132	(47,083)	7,500	1,622,353
Net profit for 2020		-	-	643,917	-	643,917
Net other comprehensive income for 2020		-	-	293	-	293
Comprehensive income for the year		-	-	644,210	-	644,210
Distribution of the 2019 financial result		-	411,190	(411,190)	-	-
As at 31 December 2020	25	9,804	2,063,322	185,937	7,500	2,266,563

ACCOUNTING PRINCIPLES (POLICIES) AND NOTES

1. General information

The Dino Polska S.A. Group (“Group”) consists of DINO Polska S.A. (“parent company”, “Company”) and its subsidiaries (see Note 2). The Group’s consolidated financial statements cover the year ended 31 December 2021 along with comparable data.

The Company was established by a Notary Deed on 9 November 2007 under the name of DINO Polska spółka z ograniczoną odpowiedzialnością. On 21 December 2011, the Shareholder Meeting of DINO Polska spółka z ograniczoną odpowiedzialnością adopted a resolution to transform the Company into Dino Polska S.A.

The parent company is entered in the register of commercial undertakings of the National Court Register kept by the District Court for Poznań Nowe Miasto i Wilda, 9th Commercial Division of the National Court Register under file number KRS 0000408273. The parent company has been given the following statistical number: REGON 300820828.

No changes were made to the entity’s business name or other identification data from the end of the previous reporting period.

The Company’s registered office is located at the following address: ul. Ostrowska 122, 63-700 Krotoszyn, Poland.

The duration of the parent company and of the entities forming part of the Group is unlimited.

The Group’s main line of business is retail sale in non-specialized stores with food, beverages or tobacco predominating.

Moreover, the Group also produces meat products, which are supplied to external customers through the Group’s retail network.

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Accounting principles (policies) and notes
(in thousands of PLN)

2. Composition of the Group

The Group consists of Dino Polska S.A. and the following subsidiaries:

Name of the unit	Registered office	Line of business	Stake held by the Group	
			31 December 2021	31 December 2020
DINO Polska S.A. (parent company)	Krotoszyn	Retail sale conducted in non-specialized stores with food, beverages or tobacco predominating	-	-
Agro-Rydzyna sp. z o.o.	Kłoda	Production of meat products	100%	100%
Centrum Wynajmu Nieruchomości sp. z o.o.	Krotoszyn	Renting and operating of own or leased real estate	100%	100%
Centrum Wynajmu Nieruchomości 1 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 2 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 3 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 4 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 5 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 6 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
PIK Finanse sp. z o.o.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Dino Oil sp. z o.o.	Krotoszyn	Manufacture and processing of refined petroleum products, retail sale of automotive fuel in specialized stores	100%	100%
Dino Krotoszyn sp. z o.o.	Krotoszyn	Warehousing and storage services, processing and preserving of meat, excluding poultry meat	100%	100%
Dino Północ sp. z o.o.*	Krotoszyn	Retail sale conducted in non-specialized stores with food, beverages or tobacco predominating	100%	100%
Dino Południe sp. z o.o.	Krotoszyn	Operation of warehousing and storage facilities for goods	100%	100%

*As at the date of preparation of the consolidated financial statements, the company did not conduct operating activity.

As at 31 December 2021 and 31 December 2020, the share in overall number of votes held by the Group in its subsidiaries is equal to the Group's share held in their capital.

3. Composition of the parent company's Management Board

As at 31 December 2021, the Management Board of the parent company consisted of the following persons:

Michał Krauze – Management Board Member

Michał Muskala – Management Board Member (until 23 February 2022)

Izabela Biadała – Management Board Member

On 23 February 2022 Mr. Michał Muskala, in consultation with the Company's Management Board and Supervisory Board, tendered his resignation from serving in the capacity of a Management Board member of Dino Polska S.A. with effect as of the moment of its submission.

Up to the date of approving these consolidated financial statements, the composition of the parent company's Management Board did not change.

4. Approval of the financial statements

These consolidated financial statements were approved for publication by the Management Board on 10 March 2022.

5. Material professional judgments and estimates

5.1. Professional judgment

The preparation of the Group's consolidated financial statements requires the Management Board of the parent company to make judgments, estimates and assumptions that affect the presented revenues, costs, assets and liabilities and related notes and disclosures regarding contingent liabilities. Uncertainty about such assumptions and estimates may result in significant adjustments to the carrying amounts of assets and liabilities in the future.

In applying the accounting policies, the Management Board has made the following judgments that have the greatest impact on the presented carrying amounts of assets and liabilities.

Term of lease for agreements with extension options

The Group sets the term of lease as the irrevocable term of lease, including the periods granting a lease extension option if one may posit with sufficient certainty that this option will be exercised, and including the periods granting a lease termination option, if one may posit with sufficient certainty that this option will not be exercised.

Term of lease for agreements for an unspecified term

The Group has lease contracts executed for an unspecified term and contracts that have converted into contracts for an unspecified term in the situations contemplated by the Polish Civil Code in which both parties hold a termination option. When determining the lease term the Group defines the period for the enforceability of the contract. Leases cease to be enforceable if the lessee and the lessor have the right to terminate a contract without having to obtain the other party's permission without incurring penalties greater than inconsequential. The Group assesses the materiality of these broadly understood penalties, i.e. outside issues that are *strictly* contractual or financial, it incorporates any other material economic factors discouraging one from terminating a contract (e.g. material investments in the leased object, accessibility of alternative solutions, costs of relocation). If neither the Group as a lessee or as a lessor is to incur a material penalty for termination (understood broadly), the lease ceases to be enforceable and its term constitutes the term of termination. However, in a situation in which one of the parties – according to a professional judgment – is to incur a material penalty for termination (understood broadly), the Group defines the lease term as sufficiently certain (or the period for which one may with sufficient certainty assume that the contract will last).

The term of lease for an unspecified period has been determined as the average term of validity of agreements for a fixed period, i.e. 70 months for the purpose of measuring lease liabilities under IFRS16, since, according to the Group's judgment, there are material penalties economically dissuading both parties from terminating these contracts, while the term of 70 months reflects the highly probable average term of validity of a contract.

Classification of reverse factoring agreements

The Company utilizes reverse factoring agreements in reference to its liabilities to manage working capital whereby it submits invoices for purchases from selected suppliers for the purpose of factoring. Considering the potential impact exerted by these types of agreements on the statement of cash flows and the statement on financial position, the Management Board makes a judgment on whether in connection with the utilization of factoring, the nature of the liability materially changes and whether it is necessary to alter its presentation. The Group classifies reverse factoring trade payables as trade payables because, in the Management Board's view, no significant changes have occurred in the nature of these payables in connection with their transfer to factoring, including among other things, the term of payment for payables in reverse factoring does not exceed the terms of payment for payables established with various suppliers. The Group's accounting policy regarding reverse factoring contracts is disclosed in note 10.17, while the balance of liabilities related to these types of settlements is disclosed in note 29.1 hereof.

Settlement of revenue under contracts with suppliers

The Group enters into contracts with suppliers on whose basis rebates, discounts and additional remuneration and fees are awarded to the Group, hinging, among other things, on the volume of purchases and related to promotions and marketing. The Group recognizes the benefits derived from these contracts by subtracting them from the purchase price of merchandise from suppliers and accordingly a reduction in the cost of goods sold presented in the statement of profit or loss as cost of sales at the time of sale of the merchandise. A justified portion of the benefits received is allocated to unsold merchandise as at the balance sheet date as a reduction in the value thereof.

5.2. Uncertainty of estimates and assumptions

Discussed below are the main assumptions concerning the future and other major sources of uncertainty existing as at the balance sheet date, which entail a significant risk of a considerable adjustment of the carrying amounts of assets and liabilities in the next financial year. In the course of drawing up the consolidated financial statements, the Group has made certain forward-looking assumptions and estimates. These assumptions and estimates may change as a result of future events resulting from market changes or changes that are not controlled by the Group. Such changes will be reflected in the estimates or assumptions at the time of their occurrence.

Impairment of trademarks and goodwill

The Group has tested the impairment of trademarks and goodwill. It required an estimate of the value in use of the cash generating unit to which the goodwill and trademarks are allocated. The estimation of value in use is based on the determination of future cash flows to be generated by the cash generating unit and requires determination of the discount rate for calculating the present value of these cash flows. The assumptions made for this purpose are presented in Note 20.

Measurement of inventories

The Group measures inventories at the lower of purchase price/production cost and net realizable price. The net realizable price is estimated as the sales price that can be achieved in the course of the entity's normal business, less the estimated costs required to finalize the sale. The Group allocates the relevant portion of the costs of delivering goods to points of sales to specify the purchase price of inventories in the Group's commercial facilities. Moreover, in order to state in real terms the balance of inventories at the end of the reporting period, the Group sets up a provision for expected, though unidentified inventory losses based on the historical statistics for inventory differences identified in commercial facilities.

Measurement of provisions for employee benefits

Provisions for employee benefits were estimated using actuarial methods. The assumptions made for this purpose, along with the sensitivity analysis, are presented in Note 28.

Estimated provisions for litigation

The Group is involved as a party in lawsuits. Based on the estimates, the Management Board has concluded that the risk of losing in the pending cases is low. Therefore, no provisions have been recognized for pending litigation.

Uncertainty related to tax settlements

Regulations regarding VAT, corporate income tax and social security contributions are subject to frequent changes. These frequent changes result in there being little point of reference, interpretations not consistent and few established precedents that may be followed. The binding regulations also contain uncertainties resulting in differences in opinions regarding the legal interpretation of tax regulations both between government bodies, and between government bodies and companies.

Tax settlements and other areas of activity (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines, and any additional taxation liabilities calculated as a result must be paid together with high interest.

Accordingly, the amounts presented and disclosed in the financial statements may change in the future as a result of a final decision of tax audit authorities.

Effective 15 July 2016, the Polish Tax Code was amended for the General Anti-Abuse Rule (GAAR) provisions. GAAR is intended to prevent the creation and use of artificial legal arrangements to avoid payment of tax in Poland. GAAR defines tax avoidance as an act carried out primarily in order to achieve a tax benefit, contrary in the circumstances to the object and goal of provisions of a tax act. Pursuant to GAAR, such an act does not result in a tax benefit, if the mode of action was not genuine. All unjustified (i) split of operations, (ii) involvement of intermediary entities without any economic or business justification, (iii) elements that compensate or exclude each other and (iv) other actions with a similar effect to the previously mentioned, may be considered as prerequisites of artificial activities subject to GAAR. The new regulation will require significantly more judgment in assessment of the tax consequences of individual transactions.

The GAAR clause is effective with respect to transactions executed following its entry into force and transactions that were carried out before, but the benefits were / are being derived after the date of its entry into force. Implementation of the above provisions will enable the Polish tax authorities to challenge legal arrangements used by the taxpayers such as group restructurings and reorganizations.

The Group recognizes and measures assets or liabilities under current and deferred tax by applying the requirements of IAS 12 *Income tax* based on profit (tax loss), taxable income, unsettled tax losses, unused tax relief and tax rates, giving consideration to the assessment of uncertainty related to tax settlements (note 14).

If there is uncertainty on whether and to what extent a tax authority will accept various tax settlements for a transaction, the Group recognizes these settlements while giving consideration to this assessment of uncertainty.

Depreciation and amortization rates

Depreciation rates are determined based on the expected useful life of property, plant and equipment, intangible assets and right-of-use assets. On an annual basis, the Group verifies the accepted useful life periods based on current estimates.

Lessee's marginal interest rate

The Group is not easily able to establish an interest rate for agreements pertaining to the right of perpetual usufruct to land; for that reason when measuring lease liabilities the Group has applied the interest rate for 30-year treasuries plus a margin of 0.8 p.p. These are the interest rates the Group would have to pay to borrow for a similar term, in the same currency and with similar collateral to purchase an asset of similar value as the right-of-use asset in a similar business environment.

6. Basis for preparation of consolidated financial statements

These consolidated financial statements have been prepared in accordance with the historical cost convention.

These consolidated financial statements are presented in Polish zloty ("PLN") and all amounts are given in thousands of PLN, unless otherwise stated.

These consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future.

As at 31 December 2021, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Group intensively develops its network using free cash and funding from bank loans to increase the value of new investments. Covenants related to loan agreements are monitored on an ongoing basis. As at the balance sheet date of 31 December 2021, there was no default on the terms and conditions of credit agreements and the Management Board is of the opinion there is no risk that banks may terminate such agreements within 12 months of the balance sheet date of 31 December 2021. The Group as at the balance sheet date has open and unused lines of credit for PLN 487.5 million that can be used to manage the Group's liquidity. Issues related to liquidity are presented in Note 35.3.

The Management Board of the parent company monitors the epidemiological situation and its impact on its business on an ongoing basis. The Company continues to maintain the rigorous sanitary regime rolled out in 2020 in all of its areas of activity and smoothly adapts it to the evolving sanitary requirements, preventive measures and restrictions imposed on store networks by the government. As a result, the Group is able to maintain business continuity and its operational efficiency in full in all of the areas of its activity. Despite the COVID-19 pandemic, as at the date of these consolidated financial statements, all areas of the operating activity of the companies belonging to the Group are performing efficiently and there are no significant reasons for revising the performance targets or plans set by the Management Board for 2022, nor has the existence of any circumstances indicating a threat to the Group companies continuing their operations been ascertained.

6.1. Statement of conformity

These consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards ("IFRS") approved by the European Union ("EU IFRS"). As at the date of approving these financial statements for publication, considering the pending process of introducing IFRSs in the EU, the IFRS applicable to these financial statements do not differ from the EU IFRS. The EU IFRS include standards and interpretations accepted and published by the International Accounting Standards Board ("IASB").

The Group's entities keep their accounting books in accordance with the accounting policies set forth in the Accounting Act of 29 September 1994 (the "Act"), as amended, and the regulations issued on its basis ("Polish Accounting Standards"). These consolidated financial statements include a number of adjustments not included in the accounts of the Group companies, which were made to bring the financial statements of those companies into conformity with IFRS.

6.2. Functional currency and presentation currency

The Group's consolidated financial statements are presented in PLN, which is also the functional currency of the parent company and of the subsidiaries.

7. Correction of errors

During the financial year there were no corrections of errors which could have an impact on the comparability of the financial data for the previous year and the data from the financial statements for the current financial year.

8. Changes in accounting policies applied

The accounting principles (policies) used to draw up these financial statements are consistent with the ones that were used to draw up the Group's financial statements for the year ended 31 December 2020 except for the application of new or modified standards and interpretations in force for annual periods beginning on or after 1 January 2021.

New or amended standards or interpretations that came into force for the first time in 2021 do not have a material impact on the Group's consolidated financial statements.

a) Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16: *Interest Rate Benchmark Reform - Phase 2*

The proposed changes contain temporary deviances addressing the effects of replacing the interbank offer rate ("IBOR") with an alternative interest rate close to the risk-free rate ("RFR") and the impact on financial reporting. The changes contain the following practical solutions:

- practical solution requiring that changes to a contract or changes to cash flows that are the direct consequence of reform be treated as a change to a floating interest rate, which is tantamount to a change in the market interest rate,
- permission to customize the hedge accounting documentation in terms of designating and documenting hedging relationships without terminating them if these changes are directly required by IBOR reform,
- awarding a temporary exemption from the requirement of satisfying the criterion for separate identification if the RFR instrument is designated as a hedge for a risk component.

b) amendments to IFRS 4

The amendments shift the date for ending the period of temporary exemption from applying IFRS 9 from 1 January 2021 to 1 January 2023 to align it to the effective date of IFRS 17. The amendments contemplate optional reversals to reduce the impact exerted by the various effective dates of IFRS 9 and IFRS 17.

c) Amendment to IFRS 16: *Covid-19-Related Rent Concessions after 30 June 2021*

This amendment extends the practical solution for leasees in respect of lease agreements with rental relief awarded directly in connection with the Covid 19 pandemic and payments originally due by 30 June 2021 inclusively to agreements with payments originally due to 30 June 2022 inclusively.

The Group did not elect to apply any standard, interpretation or amendment earlier that has been published but has not yet taken force in light of the European Union regulations.

9. New standards and interpretations published but not effective

New standards and interpretations published by the International Accounting Standards Board (IASB) but are not yet effective:

- IFRS 14 *Regulatory Deferral Accounts* (published on 30 January 2014) – the European Commission decided not to propose the standard for endorsement in its preliminary version until the final standard is published – not endorsed by the EU until the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2016;
- Amendments to IFRS 10 and IAS 28 *Sales or contributions of assets between an investor and its associate/joint venture* (published on 11 September 2014) – the work leading to the endorsement of these amendments has been postponed by the EU indefinitely – the effective date has been postponed by the IASB for an indefinite period of time;
- IFRS 17 *Insurance Contracts* (published on 18 May 2017), including Amendments to IFRS 17 (published on 25 June 2020) – effective for annual periods beginning on or after 1 January 2023;
- Amendments to IAS 1: *Presentation of financial statements: Separation of liabilities into current and non-current* and *Separation of liabilities into current and non-current – deferral of effective date* (published on 23 January 2020 and 15 July 2020, respectively) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2023;
- Amendments to IFRS 3: *Amendments to references to the Conceptual Framework* (published on 14 May 2020) – effective for annual periods beginning on or after 1 January 2022;

- Amendments to IAS 16: *Property, plant and equipment: proceeds before intended use* (published on 14 May 2020) – effective for annual periods beginning on or after 1 January 2022;
- Amendments to IAS 37: *Onerous contracts – cost of fulfilling a contract* (published on 14 May 2020) – effective for annual periods beginning on or after 1 January 2022;
- *Annual Improvements to IFRS 2018-2020 Cycle* (published on 14 May 2020) – effective for annual periods beginning on or after 1 January 2022;
- Amendments to IAS 1 and Practice Statement 2: *Disclosure of Accounting Policies* (published on 12 October 2021) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2023;
- Amendments to IAS 8: *Definition of Accounting Estimates* (published on 12 February 2021) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2023;
- Amendments to IAS 12: *Deferred Tax related to Assets and Liabilities arising from a Single Transaction* (published on 7 May 2021) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2023;
- Amendments to IAS 17: *Insurance contracts: Initial Application of IFRS 17 and IFRS 9 – Comparable Information* (published on 9 December 2021) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2023.

As at the date of approval of these financial statements for publication, the Management Board has not yet completed the assessment of the impact that the application of the remaining standards and interpretations on the Group's accounting policies in the context of its operations and on its financial results.

10. Significant accounting policies

10.1. Consolidation rules

These consolidated financial statements include the financial statements of Dino Polska S.A. and the financial statements of its controlled entities (subsidiaries) prepared for the year ended 31 December 2021. The financial year of the parent company and the group companies is the calendar year.

The financial statements of the subsidiaries, after taking into consideration adjustments introduced to make them compliant with IFRS, are prepared for the same reporting period as the statements of the parent company, applying consistent accounting principles, based on uniform accounting principles applied for transactions and similar economic events. To eliminate any discrepancies in the accounting standards applied, corrections are made.

All significant balances and transactions between Group units, including unrealized profits stemming from transactions within the Group have been wholly eliminated. Unrealized losses are eliminated unless they prove the occurrence of an impairment.

Subsidiaries are subject to consolidation from the date when the Group assumes control over them, and they cease to be consolidated when control no longer exists. The parent company has control only if it has:

- has power over the entity,
- is subject to exposure, or rights, to variable returns from its involvement with the entity,
- the ability to affect those returns through power over the entity.

The Company verifies the fact of having power over other entities if there is a situation indicating a change in one or more of the above mentioned pre-conditions for control.

Where the Company holds less than a majority of voting rights in an entity, but the voting rights held are sufficient to unilaterally direct the relevant activities of that entity, this means that it exercises authority over the entity. When assessing whether the voting rights in a given entity are sufficient to secure power, the Company analyzes all material circumstances, including:

- the size of the holding of voting rights compared to the size of the holding of shares and the degree of dispersion of voting rights held by other shareholders;
- potential voting rights held by the Company, other shareholders or other parties;

- rights arising from other contractual arrangements; and
- additional circumstances, which may prove whether the Company has the ability to direct the relevant activities at the moment of the decisions, including voting patterns observed at previous shareholder meetings.

Changes in a parent's ownership interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions. In such circumstances the carrying amounts of the controlling and non-controlling interests should be adjusted by the Group to reflect the changes in their relative interests in the subsidiary. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received should be recognized in equity and attributed to the owners of the parent.

10.2. Fair value measurement

Fair values of financial instruments measured at amortized cost are presented in Note 36.

Fair value is defined as the price that would be received from the sale of an asset or paid to transfer a liability in an orderly transaction to sell the asset between market participants at the measurement date under current market conditions. A fair value measurement is based on an assumption that the asset sale or liability transfer transaction is conducted either:

- in the principal market for the asset or liability; or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

Both the principal market and most advantageous market must be available to the Group.

The fair value of an asset or liability is determined using the assumption that market participants act in their best economic interest when determining the price of an asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All the assets and liabilities measured at fair value or whose fair value is shown in the consolidated financial statements are classified by means of the fair value hierarchy, as described below, based on the lowest level of inputs required to measure fair value as a whole:

- Level 1 - Quoted market prices (unadjusted) in active markets for identical assets or liabilities,
- Level 2 - Valuation methods for which the lowest level of inputs required to measure fair value as a whole is directly or indirectly observable.
- Level 3 - Valuation methods for which the lowest level on inputs required to measure fair value as a whole is unobservable.

For each balance sheet date, in the case of assets and liabilities occurring in the consolidated financial statements, the Group assesses whether transfers between fair value hierarchy levels have taken place by reassessing the classification to individual levels, based on the materiality of the inputs from the lowest level, which is relevant to the fair value measurement as a whole.

For the purpose of disclosing the fair value measurement results, the Group identified the asset and liability classes based on the type, characteristics and risk related to particular assets and liabilities and their fair value hierarchy level, as described above.

10.3. Currency translations

Transactions denominated in currencies other than PLN are translated into zloty at the rate effective on the transaction date.

As at the balance sheet date, monetary assets and liabilities denominated in currencies other than PLN are translated into zloty at the mid exchange rate quoted for a given currency by the National Bank of Poland (NBP) at the end of the reporting period. The resulting foreign exchange gains and losses are recognized as financial

income/expenses or, where the accounting policies so provide, capitalized in the value of assets. Non-monetary assets and liabilities recognized at historical cost and expressed in a foreign currency are recognized at the historical rate in effect on the transaction date. Non-monetary assets and liabilities measured at fair value expressed in a foreign currency are translated at the exchange rate effective on the date of the fair value measurement. Gains or losses arising out of translation of non-monetary assets and liabilities recognized at fair value are recognized in the same way as any gain or loss arising out of a change in fair value is recognized (i.e. in other comprehensive income or in profit or loss, as appropriate, depending on where the change in fair value is recognized).

For the purposes of balance sheet measurement, the following exchange rates have been assumed:

	<i>31 December 2021</i>	<i>31 December 2020</i>
EUR	4.5994	4.6148
USD	4.0600	3.7584

The functional currency of foreign subsidiaries is PLN (as at the balance sheet date, the Group did not have any foreign subsidiaries).

Goodwill arising out of the acquisition of a foreign entity and any adjustments resulting from the measurement to fair value of assets and liabilities on such an acquisition are treated as assets or liabilities of such a foreign entity and translated at the average exchange rate set for the currency by the National Bank of Poland in effect as at the balance sheet date.

The average weighted exchange rates for individual financial periods were as follows:

	<i>Year ended 31 December 2021</i>	<i>Year ended 31 December 2020</i>
EUR	4.5674	4.4448
USD	3.8629	3.8993

10.4. Property, plant and equipment

Property, plant and equipment are stated at purchase prices/production cost less accumulated depreciation and impairment losses. The initial value of fixed assets includes their purchase price plus all the costs directly related to the purchase and bringing the asset to the condition necessary for its use. This cost also includes the cost of replacement of component parts of machinery and equipment, which is recognized when incurred if relevant criteria are met. Costs incurred after a fixed asset is put into operation, such as costs of maintenance and repair, are charged to profit or loss when incurred. Property, plant and equipment also includes advances on future purchases of property, plant and equipment.

Upon purchase, fixed assets are divided into components, which represent items of significant value that can be allocated to a separate period of useful life. The costs of major overhauls are also a component part.

Property, plant and equipment is depreciated on a straight-line basis over their estimated economic useful lives, as detailed in the following table:

<i>Type</i>	<i>Period</i>
Buildings and structures	10-40 years
Plant and equipment	3-12 years
Means of transport	5-7 years
Other fixed assets	2-12 years

The residual values, useful economic lives and depreciation methods are reviewed annually and adjusted if required as at the balance sheet date.

A property, plant and equipment item may be derecognized from the consolidated statement of financial position after its disposal or when no economic benefits are expected from the continued use of the asset.

All the profits or losses resulting from removing an asset from the consolidated statement of financial position (calculated as a difference between the possible net sale price and the carrying amount of the item) are recognized in profit or loss of the period when such removal took place.

Investments in progress are fixed assets under construction or under assembly and are recognized at purchase price or production cost less any impairment loss. Fixed assets under construction are not depreciated until the construction is completed and the fixed asset is put to use.

10.4.1. Non-current assets held for sale

Non-current assets and their groups to be sold are classified by the Group as held for sale if their carrying amount is recovered as a result of a sale transaction rather than from their continued use. This condition can only be satisfied if the sale transaction is highly probable and the asset is available for immediate sale in its present condition. Classification of an asset as held for sale assumes that the Company's management intends to make a sale within one year of classification. Non-current assets classified as held for sale are measured at the lower of their carrying amount or fair value less costs to sell.

If the Group wishes to make a disposal as a result of which it would lose control over its subsidiary, then all assets and liabilities of that subsidiary are classified as held for sale, regardless of whether the Group will retain non-controlling interests after the transaction.

10.5. Intangible assets

Intangible assets acquired in a separate transaction or produced (if they meet the criteria for being recognized under cost of research and development) are initially carried at purchase price or production cost. The purchase price of intangible assets acquired in a business combination is equivalent to their fair value as at the date of the combination. After initial recognition, intangible assets are recognized at purchase price or production cost, less accumulated amortization and impairment loss. Outlays incurred for intangible assets developed in-house, with the exception of the outlays incurred for development work, are not capitalized and are recognized as costs of the period in which they were incurred.

The Group determines whether intangible assets have definite or indefinite useful lives. Intangible assets with indefinite useful lives are amortized over their useful lives and assessed for impairment whenever there is an indication of impairment. Useful lives are reviewed each year. The changes in the expected useful life or the expected method of consuming the economic benefits from a given asset are recognized through a change to the period or method of depreciation and amortization, respectively, and are treated as changes to estimates. Amortization of intangible assets with specified useful lives is recognized in profit or loss in the category that corresponds to the function of the relevant intangible asset.

Intangible assets with indefinite useful lives (goodwill and trademarks) and those which are not used are subjected to an impairment test at the level of individual assets or a cash-generating unit.

A summary of the standards used in reference to the Group's intangible assets is presented as follows:

<i>Goodwill and trademarks</i>	
Useful lives	Unspecified
Impairment test	Annual
<i>Other intangible assets</i>	
Useful lives	2-10 years
Amortization method used	Straight line method
Impairment test	Annual evaluation whether or not evidence of impairment exists.

Gains or losses arising upon derecognition of intangible assets from the consolidated statement of financial position are calculated at a difference between net sales revenues and the carrying amount of the asset and are recognized in profit or loss when they are derecognized from the consolidated statement of financial position.

10.5.1. Goodwill

Goodwill arising from the acquisition of a business is initially recognized at purchase price as an excess of:

- the consideration transferred,
- the amount of any non-controlling interest in the acquiree, and
- in a business combination achieved in stages, the acquisition-date fair value of the acquirer's previously held *equity interest* in the acquiree over
- the net fair value of the identifiable assets acquired and liabilities assumed, as determined on the date of acquisition.

After initial recognition, goodwill is measured at purchase price less all the accumulated impairment losses. Goodwill is tested for impairment once a year or more frequently if necessary. Goodwill is not amortized.

At the acquisition date, the acquired goodwill is allocated to each cash-generating unit which may take advantage of the synergy of the combination. Each unit or group of units to which goodwill has been allocated:

- corresponds to the lowest level in the Group at which goodwill is monitored for internal management purposes and
- is not greater than a single business segment as defined in IFRS 8 Operating Segments.

An impairment loss is determined by estimating the recoverable amount of the cash-generating unit to which the relevant goodwill has been allocated. If the recoverable amount of the cash-generating unit is lower than the carrying amount, an impairment loss is recognized. If goodwill is a part of a cash-generating unit and a part of the business within the unit is sold, the goodwill connected with the business sold, when determining profit or loss from the sale of such business, will be included in its carrying amount. In such circumstances, the goodwill sold is calculated based on the relative value of the business sold and the value of the retained part of the cash generating unit.

10.6. Leases

10.6.1. Group as a lessee

The Group assesses at the time of entering into a contract whether the contract is a lease or contains a lease. A contract is a lease or contains a lease if it conveys the right to control the usage of an identifiable asset for a given period in exchange for consideration.

The Group applies a uniform approach to the recognition and measurement of all lease agreements except for short-term leases and low value asset leases. On the commencement date of a lease, the Group recognizes a right-of-use asset and a lease liability.

Right-of-use assets

The Group recognizes right-of-use assets on the date of commencing a lease (i.e. the day on which the underlying asset is available for use). Right-of-use assets are measured at cost minus the total depreciation charges and impairment losses adjusted for any revaluation of lease liabilities. The cost of right-of-use assets involves the amount of lease liabilities, the direct initial costs incurred and any and all lease payments paid on the date of commencement, or prior to that date, minus any and all lease incentives received. Insofar as the Group does not have sufficient certainty that it will obtain title of ownership to the leased object at the end of the lease term, the disclosed right-of-use assets are depreciated using the linear method for the shorter of two periods: the estimated period of use or the lease term. Right-of-use assets are subject to impairment tests.

Lease liabilities

On the date of commencement of a lease, the Group measures the lease liabilities as the present value of the lease payments remaining to be paid on that date. Lease payments include fixed payments (including in principle fixed lease payments) minus any and all lease incentives due, variable payments that are pegged to an index or rate and the amounts whose payment is expected under the guaranteed residual value. Lease payments also include the call option exercise price if one may with sufficient certainty posit that the Group will exercise it as well as the payments of cash penalties for the termination of a lease if the terms of the lease contemplate the Group's option to terminate the lease. Variable lease payments that are not pegged to an index or a rate are recognized as an expense in the period in which a payment-triggering event or condition transpires.

When computing the present value of lease payments, the Group applies the lessee's marginal interest rate on the date of commencing the lease if the lease's interest rate cannot be determined easily. After the date of commencement, the quantum of the lease liabilities is adjusted upward to reflect interest and downward to reflect the remitted lease payments. Moreover, the carrying amount of lease liabilities is subject to re-measurement if the term of the lease is changed, the fixed lease payments are fundamentally changed or the judgment concerning the purchase of the underlying assets is changed.

Short-term leases and low value asset leases and floating lease payments

The Group applies an exemption from recognizing a short-term lease among its short-term lease agreements (i.e. agreements whose term of lease is 12 months or less from the date of commencement and do not contain a purchase option). The Group also applies an exemption from recognizing low value asset leases with respect to a lower value asset lease. Lease payments for short-term and low value asset leases are recognized as operating expenses

using the straight-line depreciation method during the term of lease. In lease agreements for which the value of monthly rent hinges on the trading volume, the amounts of the monthly installments are recognized as costs of the period.

10.7. Impairment of non-financial non-current assets

As at every balance sheet date the Group assesses whether there are any premises indicating that an impairment could occur with respect to any of its non-financial non-current assets, including any right-of-use asset. If any such indication exists, or if there is a need to perform an annual impairment testing, the Group estimates the recoverable amount of the asset or the cash-generating unit to which the asset belongs.

Recoverable amount of an asset or a cash generating unit is equal to either: its fair value less the cost to sell such asset or cash generating unit, or its value in use, whichever is higher. Recoverable amount is determined for individual assets, unless the asset does not by itself generate any cash proceeds, which are mostly independent from those generated by other assets or asset groups. If the carrying amount is higher than the recoverable amount then an impairment loss is recognized. When estimating the value in use, the forecast cash flows are discounted to their present value using the discount rate before the effects of taxation are taken into account, which reflects the current market estimation of time value of money and risk typical for a given asset. Impairment losses on assets used in the continuing operations are recognized in those cost categories that correspond to the function of the impaired asset.

On each balance sheet date, the Group assesses whether any evidence exists that the impairment loss recognized in prior periods for an asset is no longer necessary or whether it should be reduced. If such evidence exists, the Group estimates the recoverable amount of the asset. The previously recognized impairment loss is reversed only when the estimated values used to determine the recoverable amount of the asset changed since the last impairment loss was recognized. If this is the case, the carrying amount of the asset is increased to its recoverable amount. The increased carrying amount of an asset attributable to a reversal of an impairment loss will not exceed the carrying amount that would have been determined (net of amortization or depreciation) had no impairment loss been recognized for the asset in prior years. Reversal of the impairment loss for an asset is recognized promptly as revenue. After a reversal of an impairment loss is recognized, the depreciation (amortization) charge for the asset will be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value, on a systematic basis over its remaining useful life.

10.8. Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset, i.e. one that requires substantial period of time to get ready for its intended use, are capitalized as part of purchase price or production cost of that fixed asset. The Group holds no assets that require a substantial period of time to get ready for its intended use and therefore borrowing costs are not capitalized.

10.9. Financial assets

Classification of financial assets

Financial assets are classified into the following measurement categories:

- measured at amortized cost,
- measured at fair value through profit or loss,
- measured at fair value through other comprehensive income.

The Group does not hold any financial assets measured at fair value.

Trade receivables are held in order to collect contractual cash flows and if the Group does not sell trade receivables in factoring schemes – they are measured at amortized cost through profit or loss. The Group uses a practical exemption and for trade receivables under 12 months does not identify significant financing components.

Ceasing to recognize

Financial assets are eliminated from the accounting ledgers if:

- the right to receive cash flow from financial assets has expired or
- the right to receive cash flow from financial assets has been transferred while the Group has transferred in principle the entire risk and all benefits held by virtue of their ownership.

Measurement at initial recognition

For the purposes of measurement at initial recognition, financial assets are classified in one of the four categories:

- debt instruments measured at amortized cost,
- debt instruments measured at fair value through other comprehensive income,
- equity instruments measured at fair value through other comprehensive income,
- financial assets measured at fair value through profit or loss.

The Group does not hold any financial assets measured at fair value.

Debt instruments – financial assets measured at amortized cost

A financial asset is measured at amortized cost if both of the following conditions are satisfied:

- a) the financial asset is held in accordance with the business model the purpose of which is to hold financial assets to obtain cash flows generated from the contract, and
- b) the terms of the contract related to the financial asset cause cash flows to be generated on specific dates, such cash flows representing only the repayment of the principal and interest on the outstanding principal.

The Group classifies the following assets into the category of financial assets measured at amortized cost:

- trade receivables,
- granted loans which, according to the business model, are reported as held to generate cash flows,
- cash and cash equivalents.

Interest income is calculated using the effective interest rate method and is shown in the statement of profit or loss in the line item entitled “Financial income”.

10.10. Offsetting financial assets and financial liabilities

In a situation where the Group:

- currently has a legally enforceable right to set off the recognized amounts
- and intends to settle it on a net basis or at the same time to realize an asset and perform an obligation

a financial asset and a financial liability are offset and the net amount presented in the statement of financial position.

10.11. Impairment of financial assets

The Group assesses its expected credit losses (ECLs) associated with debt instruments measured at amortized cost and fair value through other comprehensive income, regardless of whether or not there has been any indication of impairment.

For trade receivables, the Group applies a simplified approach and measures a loss allowance for expected credit losses at the amount equal to the expected credit losses over the instrument’s lifetime. The Group uses its historical data on credit losses, adjusted on an as-needed basis for the impact of forward-looking statements.

In the case of other financial assets, the Group measures a allowance for expected credit losses at the amount equal to the financial instrument’s 12-month expected credit losses. If the credit risk related to a given financial instrument has significantly increased since its initial recognition, the Group measures a loss allowance for expected credit losses on a financial instrument at the amount equal to the expected credit losses over the instrument’s lifetime.

10.12. Inventories

Inventories are measured at purchase price, no higher than their net realizable price.

The purchase price or the production cost of an inventory component takes into account the costs of purchase, the costs of conversion and other equipment costs incurred in bringing the inventories to make their present location and condition - both in terms of the current and the previous year - and are determined as follows:

- | | |
|-------------------------------------|---|
| Materials | - at purchase price using the “first in, first out” method |
| Finished goods and work in progress | - the cost of direct materials and labor and an appropriate overhead of indirect manufacturing costs determined under the assumption of normal production capacity utilization, excluding borrowing costs |
| Merchandise | - at purchase price using the “first in, first out” method |

The net realizable price is the estimated sales price that can be achieved in the course of the entity’s normal business, less the costs of finishing and the estimated costs required to finalize the sale. The costs of transport from the warehouse to the stores are an element of valuation of the inventories and cost of sales at the time of their sale. Moreover, in order to state in real terms the balance of inventories at the end of the reporting period, the Group sets up a provision for expected, though unidentified inventory losses based on the historical statistics for inventory differences identified in commercial facilities.

10.13. Trade receivables

Trade receivables are recognized and measured at originally invoiced amounts, including impairment for expected credit losses over the instrument’s lifetime.

If the effect of the time value of money is material, the amount of receivables is determined by discounting projected future cash flows to their present value using pre-tax discount rates reflecting current market estimates of the time value of money and risks, if any, specific to a given obligation. If the discount method is applied, an increase in receivables as a result of lapse of time is recognized in financial income.

10.14. Other receivables

Other receivables include, in particular, receivables from sales vouchers, payment card payments, bid deposits made to purchase property, plant and equipment and receivables from employees. Receivables from the state budget are presented under other non-financial assets, except for corporate income tax receivables, which constitute a separate item in the consolidated statement of financial position.

10.15. Cash and cash equivalents

Cash and short-term deposits presented in the consolidated statement of financial position include cash at bank and in hand, as well as short-term deposits with an original maturity of up to three months.

The balance of cash and cash equivalents shown in the consolidated statement of cash flows includes the cash and cash equivalents listed above.

10.16. Interest-bearing loans, borrowings and debt securities

At initial recognition, all bank loans, borrowings and debt securities are recognized at fair value less the cost of obtaining the loan or borrowing.

After initial recognition, interest-bearing loans, borrowings and debt securities are measured at amortized cost using the effective interest rate method.

When calculating amortized cost, the cost of obtaining the loan or borrowing must be taken into account, as well as any discounts and bonuses obtained in connection with the liability.

Revenues and costs are recognized in profit or loss upon derecognition of the liability from the consolidated statement of financial position and also as a result of a settlement using the effective interest rate method.

10.17. Trade payables

The amount of trade payables is determined by discounting projected future cash flows to their present value using pre-tax discount rates reflecting current market estimates of the time value of money and risks, if any, specific to

a given obligation. If a discounting-based method was used, an increase of a liability associated with passage of time is recognized as financial expenses.

The Group assumes the discount rate at the level of the average interest rate on the Group's financial liabilities in the period. The average discount rate used to discount trade payables was 1.96% in 2020 and 1.54% in 2021.

Trade payables in reverse factoring are presented in the line item "Trade and other payables" in current liabilities, provided that the reverse factoring has not caused a significant change in the terms of payment. The assessment of whether a fundamental change in the conditions of payment has occurred is the Management Board's judgment described in the section professional judgment of the financial statements.

10.18. Financial liabilities

Financial liabilities measured at fair value through profit or loss include financial liabilities held for trading and financial liabilities initially classified as measured at fair value through profit or loss. Financial liabilities are classified as held for trading if they have been acquired for the purpose of being sold in the near future. Derivatives, including separated embedded instruments, are also classified as held for trading, unless they are deemed to be effective hedging instruments.

As at 31 December 2021 and as at 31 December 2020, no financial liabilities have been designated as at fair value through profit or loss.

Financial liabilities measured at fair value through profit or loss are measured at fair value, based on their market value as at the balance sheet date, without reflecting sales transaction costs. Changes to the fair value of these instruments are recognized in profit or loss as financial expenses or income, except for changes for own credit risk on financial liabilities originally classified as belonging to categories measured at fair value through the financial result, which is recognized in other comprehensive income.

Other financial liabilities not classified as financial instruments at fair value through profit or loss are measured at amortized cost using the effective interest rate method.

The Group derecognizes a financial liability from its balance sheet if the liability has expired, i.e. when the obligation specified in the contract is discharged or cancelled or expires.

10.19. Other non-financial liabilities

Other non-financial liabilities include in particular liabilities to the tax office on account of value added tax and local taxes and liabilities on account of received advance payments to be settled by deliveries of goods or services. Other non-financial liabilities are recognized at the amount of required payment.

10.20. Modification of financial liabilities and change of the expected cash flow

Cash flows pertaining to a financial liability may change as a result of a change in the contractual conditions or expectations pertaining to the estimated cash flows for the purposes of measuring a financial liability at amortized cost.

a) change of contractual conditions

In the event of a change in the contractual conditions of a financial liability the Group analyzes whether the modification of the cash flows is material or not. The Group applies quantitative and qualitative criteria to identify a material modification leading to ceasing from the recognition of an existing financial liability.

The Group deems to be a material modification a change of the discounted present value of cash flow stemming from new conditions, including any and all payments made minus the payments received and discounted using the original effective interest rate of no less than 10% of the discounted present value of the other cash flows under the original financial liability.

Notwithstanding the quantitative criterion, a modification is deemed to be material in the following instances:

- a) translation of a financial liability into a different currency insofar as this is not specified upfront in the terms and conditions of the contract,
- b) switch of a lender,
- c) material extension of the term of financing versus the original term of financing,
- d) change of the interest rate from floating to fixed and vice versa,

e) change of legal form / type of financial instrument.

The Group recognizes a material modification to a financial liability as the expiration of the original financial liability and the recognition of a new financial liability.

In the event of a change in the contractual terms of a financial liability that does not result in derecognition of an existing liability, the gain or loss is recognized immediately in the financial result. A gain or loss is calculated as the difference between the present value of the modified and original cash flows, discounted using the original effective interest rate of the liability.

b) Modification of expected cash flow

In the event of financial liabilities with a floating rate, the periodic revaluation of cash flows to reflect changes in market interest rates leads to a change in the effective interest rate.

In the event the Group alters its estimate of the payments for a financial liability (except for changes pertaining to the modification of contractual cash flows), an adjustment is made to the carrying amount of the financial liability so that this amount reflects the actual and altered estimated cash flows stemming from the contract. The Group sets the carrying amount of the financial liability at the amortized cost as the present value of the estimated future cash flows stemming from a contract which are discounted at the original effective interest rate of the financial instrument. The difference in measurement is recognized as income or costs in the financial result.

10.21. Provisions

Provisions are recognized when the Group has an obligation (legal or constructive) resulting from past events and when it is probable that the discharge of this obligation will cause an outflow of economic benefits, and the amount of the obligation may be reliably estimated. When the Group expects to receive a reimbursement of the costs covered by the provision, for example under an insurance agreement, then the reimbursement is recognized as a separate asset when, and only when, it is virtually certain that reimbursement will be received. The costs tied to a provision are recognized in the consolidated statement of profit or loss net of any reimbursements.

If the effect of the time value of money is material, the amount of provisions is calculated by discounting projected future cash flows to their present value using a discount rate reflecting current market estimates of the time value of money and risks, if any, specific to a given obligation. If the discount method is applied, an increase in provisions as a result of lapse of time is recognized in financial expenses.

10.22. Employee benefits

In accordance with internal remuneration regulations, Group employees are entitled to retirement severance benefits. Retirement severance benefits are paid out as a one-off benefit upon retirement. The amount of retirement severance benefits depends on the number of years of employment and the average salary. The Group makes a provision for retirement severance benefits in order to allocate costs of those allowances to the periods, to which they relate. Under IAS 19, retirement severance benefits are post-employment defined benefit plans. The present value of these commitments for each balance sheet date is calculated by an independent actuary. The balance of these liabilities equals discounted payments which will be made in the future and accounts for staff turnover, and relate to the period to the balance sheet date. Demographic information and employee turnover information are based on historical data.

The remeasurement of employee benefit liabilities relating to defined benefit plans, including actuarial gains and losses, is recognized in other comprehensive income and is not reclassified subsequently to profit or loss.

The Group recognizes the following changes in net liabilities on account of defined benefits as part of: the cost of sales, general administration expenses and sales and marketing expenses, respectively, which are composed of

- service cost (including, but not limited to, current service cost, past service cost)
- net interest on the net defined benefit liability.

The Group incurs costs related to the operation of Employee Pension Schemes ("EPS") by making contributions to an investment fund. They constitute benefits after the period of employment in the form of a defined contribution program. The Group recognizes the costs of contributions to an EPS in the same line item of costs in which it recognizes the costs of employee benefits serving as the basis for calculation. Liabilities for EPS are presented in trade and other liabilities.

10.23. Revenue

10.23.1. Revenue from contracts with customers

The Group applies IFRS 15 “Revenue from contracts with customers” to all its contracts with customers, with the exception of lease contracts covered by the scope of application of IFRS 16 “Leases”, financial instruments and other contractual rights or obligations covered by the scope of application of IFRS 9 “Financial Instruments”, IFRS 10 “Consolidated financial statements”, IFRS 11 “Joint arrangements”, IAS 27 “Separate financial statements” and IAS 28 “Investments in associates and joint ventures”.

The basic principle of IFRS 15 is the recognition of revenue at the moment of the transfer of goods or services to the customer, using a value reflecting the price expected to be received by the Group in return for the transfer of such goods or services. These rules are applied as part of the following five-step model:

- a contract with a customer has been identified,
- a performance obligation has been identified as part of the contract with the customer,
- the transaction price has been specified,
- the transaction price has been allocated to specific performance obligations,
- the moment of recognition of the revenue is the same as the moment of performance of the obligation under the contract.

Identification of a contract with a customer

The Group recognizes a contract with a customer only if all of the following criteria have been satisfied:

- the parties to the contract have entered into a contract (in writing or in compliance with other usual commercial practices) and are required to perform their obligations;
- the Group is able to identify the rights of each party related to the goods or services to be delivered;
- the Group is able to identify the payment terms for the goods or services to be delivered;
- the contract has economic content (i.e. it may be expected that as a result of the contract the risk, timing or amount of the Group’s future cash flows will be changed); and
- it is probable that the Group will receive remuneration which it will be entitled to in return for the goods or services that will be delivered to the customer.

When assessing whether the receipt of the amount of such remuneration is probable, the Group only considers the customer’s ability and intention to pay the remuneration amount in a timely manner. The remuneration amount payable to the Group may be lower than the price specified in the contract if the remuneration is variable, because the Group may offer the customer a price discount.

Identification of performance obligations

Upon execution of the contract, the Group measures the goods or services promised to be delivered in the contract with the customer and identifies as a performance obligation any promise to deliver to the customer a good or service (or a bundle of goods or services) that may be separated out or groups of separate goods or services that are basically the same and for which their delivery to the customer is of the same nature.

The good or service promised to be delivered to the customer is separate in nature if both of the following conditions are satisfied:

- the customer may benefit from the good or service either directly or through its being connected to other resources that are readily available to the customer, and
- the Group’s obligation to transfer the good or service to the customer may be identified as separate from the other obligations specified in the contract.

Determination of the transaction price

In order to determine the transaction price, the Group takes into account the terms of the contract and the customary commercial practices. The transaction price is the amount of remuneration which, as the Group expects, will be payable in return for the delivery of the promised goods or services to the customer, with the exception of any amounts collected on behalf of third parties (for instance certain sales taxes).

Allocation of the transaction price to performance obligations

The Group allocates the transaction price to each performance obligation (or to a separate good or service) in an amount that reflects the amount of remuneration which, as the Group expects, is payable to it in return for the delivery of the promised goods or services to the customer.

Fulfillment of performance obligations

The Group recognizes revenue upon (or during) fulfillment of the performance obligation realized in the form of the delivery of the promised good or service to the customer.

As regards contracts for the provision of continuous services under which the Group is entitled to receive remuneration from the customer in an amount that directly corresponds to the value of the services provided to the customer to date, the Group recognizes revenue in the amount it is entitled to invoice.

The Group generates most of its revenue on sales of food and it is not obliged to accept returns of food products and goods sold. At the time of transferring an asset to a customer (the customer obtaining control over the asset), the Group does not expect the goods and products sold to be returned in the future. The Group does not enter into any contracts with customers that include variable amounts of consideration (revenue) resulting from discounts, rebates or performance bonuses granted and it does not extend options to customers to obtain additional goods or services free of charge or at a reduced price in the form of add-ons or loyalty points.

Remuneration of the principal and remuneration of the intermediary

In the event that any other entity is involved in the delivery of goods or services to the customer, the Group determines whether the nature of the Group's promise is that of a performance obligation (in which case the Group is the principal) or that of ordering another entity to deliver such goods or services (in which case the Group is the intermediary).

The Group is the principal if it exercises control over the promised good or service before it is delivered to the customer. However, the Group does not have to act as the principal if it obtains the legal title to the product only temporarily before it is delivered to the customer. The Group acting in the contract as the principal may itself fulfill the performance obligation or may entrust the fulfillment of this obligation in full or in part to another entity (e.g. a subcontractor) on its behalf. In such a situation, the Group recognizes revenue in the gross amount of the remuneration to which, as the Group expects, it is entitled in return for the delivered goods or services.

The Group acts as the intermediary if its performance obligation consists of ensuring the delivery of goods or services by another entity. In such a case, the Group recognizes revenue in the amount of any fee or commission to which, as the Group expects, it is entitled in return for ensuring the delivery of the goods or services by such other entity. The Group acts as the intermediary in the sale of press and mobile phone top-ups.

Receivables

Within the category of receivables, the Group recognizes rights to remuneration in return for the goods or services which it has delivered to the customer if the Group's right in this respect is unconditional (and the only condition of the remuneration becoming due and payable is the elapse of a specified period of time).

Contract liabilities

Within the category of contract liabilities, the Group recognizes remuneration received from or payable by a customer, which is related to the obligation to deliver certain goods or services to the customer.

Sale of services to the suppliers of goods and sale of other services

Revenues related to the benefits from the sale of services to suppliers of goods (e.g. marketing services) that are not identified as separate services are presented by the Group as a deduction in cost of goods purchased from such vendors. Revenue on sales of other services are presented as revenue on sales of products.

10.23.2. Interest

Interest revenue is recognized gradually as it accrues (taking into account the effective interest rate method which serves as the discounting rate for future financial inflows during the estimated lifetime of financial instruments) in relation to the net carrying amount of a particular financial asset.

10.23.3. Dividends

Dividends are recognized when the shareholder's right to receive payment is established.

10.23.4. Rental revenue

Revenues from leases of property are recognized using the straight-line method for the entire term of lease, in relation to active agreements.

10.23.5. Government grants and other grants (white certificates)

Government grants are recognized at their fair value where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with.

If a grant relates to an expense item, it is recognized as other operating income over the period necessary to match the grant on a systematic basis to the costs that the grant is intended to compensate. Where the grant relates to an asset, the fair value is credited to a deferred revenue account and is gradually recognized in profit or loss over the expected useful life of the related asset by equal annual instalments.

In the case of the Anti-Crisis Shield co-funding pertaining to the costs of salaries, the co-funding received is recognized as a reduction in the costs, which this is intended to offset.

10.24. Taxes

10.24.1. Current tax

Current tax liabilities and assets for the current and prior periods are measured at the amount expected to be paid to (recovered from) the taxation authorities, using the tax rates and tax laws that have been enacted or substantively enacted as at the balance sheet date.

10.24.2. Deferred tax

For the purposes of financial reporting, deferred tax is calculated by using the method of balance sheet liabilities in relation to all temporary differences as at the balance sheet date between the tax value of assets and liabilities and their carrying amount shown in the consolidated financial statements.

Deferred tax liability is recognized for all taxable temporary differences:

- except to the extent that the deferred tax liability arises from the initial recognition of goodwill or the initial recognition of an asset or liability in a transaction which is not a business combination, and, at the time of the transaction, does not affect the net profit (loss) under financial accounting or tax accounting, and
- in the case of taxable temporary differences associated with investments in subsidiaries or associates, and interests in joint ventures, unless the investor is able to control the timing of the reversal of the temporary differences or it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized in relation to all deductible temporary differences, unused tax credit, and unused tax losses brought forward in the amount of the probable taxable income which would allow these differences, assets and losses to be used:

- except to the extent that the deferred tax asset relating to deductible temporary differences arises from the initial recognition of an asset or liability in a transaction which is not a business combination, and, at the time of the transaction, does not affect profit or loss under financial accounting or tax accounting, and
- in the case of deductible temporary differences associated with investments in subsidiaries or associates and interests in joint ventures, the related deferred tax asset is recognized in the consolidated statement of financial position in the amount of the taxable income expected to be generated in the foreseeable future (as a result of the reversal of these temporary differences) which would enable the deductible temporary differences to be offset.

The carrying amount of a deferred tax asset is reviewed at each balance sheet date and is subject to appropriate reduction to the extent it is no longer probable that taxable income sufficient for a partial or full realization of this deferred tax asset would be generated. The unrecognized portion of the deferred tax asset is subject to reassessment

at each balance sheet date and is recognized up to the amount reflecting the probability of generating future taxable income which will allow the asset to be recovered.

Deferred tax assets and deferred tax liabilities are measured using tax rates that are expected to be applied when the asset is realized or the liability is settled, taking as the basis the tax rates (and tax laws) in effect as at the balance sheet date or the tax rates (and tax laws) whose future application is certain as at the end of the reporting period.

Income tax relating to items which are not recognized in profit or loss is not recognized in profit or loss but under other comprehensive income (income tax relating to items recognized in other comprehensive income) or directly in equity (income tax relating to items recognized directly in equity).

The Group offsets deferred tax assets and deferred tax liabilities if, and only if it has a legally enforceable right to set off the current tax receivables and liabilities and the deferred tax relates to the same taxpayer and the same fiscal authority.

10.24.3. Value added tax

Revenues, costs, assets and liabilities are recognized net of the amount of value added tax, except when:

- the value added tax paid on purchase of assets or services is not recoverable from the fiscal authorities, in which case it is recognized as part of the purchase price of the asset or as part of the cost item, as applicable, or
- receivables and liabilities are recognized inclusive of the value added tax.

The net amount of value added tax recoverable from, or payable to, the fiscal authority is shown as part of receivables or liabilities in the consolidated statement of financial position.

10.24.4. Uncertainty over income tax treatments

If in the Group's opinion it is probable that the Group's approach to a tax issue or group of tax issues will be accepted by the tax authority, the Group defines income to be taxed (tax loss), taxable income, unused tax losses, unused tax breaks and tax rates including the approach to planned taxation or taxation applied in its tax declaration. When assessing this probability the Group accepts that the tax authorities authorized to review and challenge the method of a tax treatment will conduct such a review and will have access to any and all information.

If the Group asserts that it is not probable that the tax authority will accept the Group's approach to a tax issue or a group of tax issues, then the Group reflects the effects of uncertainty in an accounting recognition of the tax in the period in which it makes such a determination. The Group recognizes the income tax liability using one of the two methods mentioned below depending on which one of them better reflects the method in which the uncertainty may materialize.

- The Group specifies the most probable scenario – this is the single amount among the possible results or
- The Group recognizes the expected value - this is the sum total of the amounts weighted by probability among the possible outcomes.

10.25. Earnings per share

Earnings per share for each period are calculated by dividing the net result for a particular period by the weighted average number of shares in that reporting period.

11. Revenue from contracts with customers

The Group's main line of business entails the retail sales of goods in a diverse product range (mainly food and beverages) and products (meat products). Sales of goods in own and leased shops directly to individual (retail) customers represented approximately 98% of the Group's revenues. Since the Company's customers are homogenous and there is no separation into categories reflecting the manner in which economic factors affect the nature, amount, term of payment and uncertainty of income and cash flow. The detailed policies pertaining to revenue on contracts with clients have been described in note 10.23.

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2021
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

<i>(in thousands of PLN)</i>	01.01.2021-31.12.2021	01.01.2020-31.12.2020
Revenue on sales of products and services	1,537,650	1,269,138
Revenue on sales of goods and materials	11,824,362	8,856,677
Total	13,362,012	10,125,815

Revenue on sales of meat products produced by the Group is presented as revenue on sales of products, while revenue on retail sales of goods purchased for further resale is presented as revenue on sales of goods. The Group recognizes rental income in sales revenue. In 2021 this revenue was 6,824 thousand PLN (in 2020: PLN 4,421 thousand). The Group does not have customers whose sales would amount to more than 10% of the total value of sales. The Group generated all revenues in Poland.

12. Operating segments

The DINO Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network. Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the DINO Polska S.A. Group as a whole, only one operating segment has been isolated.

13. Revenues and costs

13.1. Costs by nature

<i>(in thousands of PLN)</i>	01.01.2021-31.12.2021	01.01.2020-31.12.2020
Depreciation and amortization	247,343	198,146
Consumption of materials and energy	1,041,193	870,745
External services	446,303	333,870
Taxes and fees	242,787	50,226
Employee benefits	1,577,930	1,209,946
Other costs by nature	53,988	42,226
Cost of goods and materials sold	8,730,389	6,587,035
Total costs by nature, including:	12,339,933	9,292,194
Items captured in cost of sales	10,038,342	7,521,986
Items captured in sales and marketing expenses	2,181,963	1,668,084
Items captured in general administration expenses	117,285	99,783
Movement in products	2,343	2,341

The „Taxes and fees” line item recognizes the retail sales tax of PLN 170.2 million allocated to the cost of sales line item. This tax took effect at the outset of 2021.

13.2. Depreciation and amortization costs recognized in profit or loss

<i>(in thousands of PLN)</i>	01.01.2021-31.12.2021	01.01.2020-31.12.2020
<i>Items captured in cost of sales:</i>	<i>27,893</i>	<i>22,835</i>
Depreciation of fixed assets	19,849	12,593
Depreciation and amortization of right-of-use assets	8,044	10,242
<i>Items captured in sales and marketing expenses:</i>	<i>217,044</i>	<i>173,408</i>
Depreciation of fixed assets	195,985	147,414
Depreciation and amortization of right-of-use assets	15,914	21,089
Amortization of intangible assets	5,145	4,905
<i>Items captured in general administration expenses:</i>	<i>2,406</i>	<i>1,903</i>
Depreciation of fixed assets	1,802	1,813
Amortization of intangible assets	604	90

13.3. Employee benefits

<i>(in thousands of PLN)</i>	<i>01.01.2021-31.12.2021</i>	<i>01.01.2020-31.12.2020</i>
Employee benefits	1,256,794	966,520
Unused holiday leave	15,751	13,977
Costs of retirement and disability benefits	2,557	1,325
Social security contributions	298,884	225,528
Costs of contributions to EPS	3,944	2,596
Total employee benefits, including:	1,577,930	1,209,946
Items captured in cost of sales	46,434	47,339
Items captured in sales and marketing expenses	1,455,345	1,096,777
Items captured in general administration expenses	76,151	65,830

13.4. Other operating income

<i>(in thousands of PLN)</i>	<i>01.01.2021-31.12.2021</i>	<i>01.01.2020-31.12.2020</i>
Impairment loss for expected credit losses	37	3
Grants	869	939
Damages	5,963	926
Income for making timely payments PIT-4	211	153
Sales of PMEFC certificates	18	144
Other (including debit/credit notes)	7,266	5,433
Total other operating income	14,364	7,598

In 2021 the Company received damages on account of lost profits due to the blockage of fiscal printers and the inability to conduct sales in some stores on 2-3 January 2020.

13.5. Other operating expenses

<i>(in thousands of PLN)</i>	<i>01.01.2021-31.12.2021</i>	<i>01.01.2020-31.12.2020</i>
Impairment loss for expected credit losses	1,160	274
Losses resulting from inventory shortages	657	915
Sale and decommissioning of property, plant and equipment	7,423	2,264
Costs of litigation	1	25
Donations	3,652	874
Other (including VAT, for 90 days)	1,900	1,349
Total other operating expenses	14,793	5,701

In 2021 the Group donated PLN 2,890 thousand to hospitals to combat COVID-19

13.6. Financial income

<i>(in thousands of PLN)</i>	<i>01.01.2021-31.12.2021</i>	<i>01.01.2020-31.12.2020</i>
Interest income from banks	76	420
Interest income on receivables	843	676
Interest income on loans	79	36
Foreign exchange gains	121	2,104
Other	-	1
Total financial income	1,119	3,237

13.7. Financial expenses

<i>(in thousands of PLN)</i>	01.01.2021-31.12.2021	01.01.2020-31.12.2020
Interest on bank loans	15,329	19,545
Interest on trade payables	20,434	18,139
Interest on other payables	56	3,494
Interest on bonds	7,812	6,859
Interest on lease liabilities	2,313	3,609
Commissions	758	445
Other	1	5
Total financial expenses	46,703	52,096

Interest on trade payables includes amounts charged for discounting them and interest on factoring

14. Income tax

14.1. Tax expense

The key tax expense items for the year ended 31 December 2021 and 31 December 2020 are as follows:

<i>(in thousands of PLN)</i>	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020
Recognized in profit or loss		
<i>Current income tax</i>		
Current income tax expense	(185,852)	(150,636)
<i>Deferred tax</i>		
Related to occurrence and reversal of temporary differences	12,746	5,553
Tax expense recognized in consolidated profit or loss	(173,106)	(145,083)
Consolidated statement of comprehensive income		
<i>Deferred tax</i>		
Tax on actuarial gains/losses	393	(69)
Tax credit/(tax expense) recognized in other comprehensive income	393	(69)

14.2. Reconciliation of effective tax rate

The reconciliation of income tax on profit (loss) before tax at the statutory tax rate with income tax calculated at the Group's effective tax rate for the years ended 31 December 2021 and 31 December 2020 is as follows:

<i>(in thousands of PLN)</i>	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020
Profit before tax from continuing operations	978,409	789,000
Profit before tax	978,409	789,000
Tax at the statutory tax rate in Poland at 19% (in the comparative period: 19%)	(185,898)	(149,910)
Investment allowance for operating in a special economic zone and the asset recognized in the current period by virtue thereof	12,953	4,684
Income tax adjustment for previous years	(191)	465
Income and expense items that are never taxable or deductible	30	(322)
Tax at the effective tax rate	(173,106)	(145,083)
Income tax (expense) recognized in consolidated profit or loss	(173,106)	(145,083)

14.3. Deferred tax

Deferred tax is calculated on the basis of the following items:

<i>(in thousands of PLN)</i>	<i>Consolidated statement of financial position</i>		<i>Consolidated profit and loss account for the year ended</i>	
	31.12.2021	31.12.2020	31.12.2021	31.12.2020
Temporary difference in the value of non-current assets	43,599	33,574	10,025	5,490
Accrued interest as at the balance sheet date	5,523	7,403	(1,880)	880
Provision for future income	22,059	16,869	5,190	6,817
Other	1,116	135	981	113
Presentation adjustment*	(64,110)	(51,426)	(12,684)	(16,254)
Deferred tax liability	8,187	6,555		
Difference in measurement of inventories	37,552	26,029	11,523	9,868
Provisions for retirement severance benefits	1,219	734	485	240
Provision for unused holiday leave	10,634	7,641	2,993	2,509
Provision for other liabilities (e.g. energy, bonuses, audit of financial statements)	5,559	3,954	1,605	2,047
Mandate contracts paid in the subsequent year	653	649	4	(23)
Social security contributions	8,558	6,427	2,131	1,723
Accrued interest as at the balance sheet date	5,955	7,821	(1,866)	1,114
Other (including foreign exchange losses)	730	499	231	348
Losses deductible from future taxable income	653	240	413	(6)
Temporary difference in the value of non-current assets	7,202	5,446	1,756	1,033
Allowance on the amount of eligible capital expenditures for business in a Special Economic Zone	20,511	12,724	7,787	-
Presentation adjustment*	(64,110)	(51,426)	(12,684)	(16,254)
Deferred tax assets	35,116	20,738		
Deferred tax expense			12,746	5,553

* The presentation adjustment is associated with offsetting the deferred tax asset and liability at the level of distinct member companies of the group.

Pursuant to permit no. 204 of 29 October 2010 issued by Wałbrzyska Specjalna Strefa Ekonomiczna "INVEST-PARK" sp. z ograniczoną odpowiedzialnością as the administrator of the Wałbrzych Special Economic Zone, Dino Krotoszyn sp. z o.o. is covered by an exemption from corporate income tax applicable to the company's business referred to in these permits.

On 2 August 2021 Dino Krotoszyn sp. z o.o. submitted an application to the Minister of Development, Labor and Technology to assert the expiration of permit no. 289 of 14 April 2014. A positive decision was issued on 3 September 2021.

Pursuant to permit no. DOW-30/2021 of 19 November 2021 and permit no. DOW-41/2021 of 30 December 2021 issued by Wałbrzyska Specjalna Strefa Ekonomiczna "INVEST-PARK" sp. z ograniczoną odpowiedzialnością managing the Wałbrzych Special Economic Zone and permit no. 46/2021 of 17 December 2021 issued by the Słupsk Special Economic Zone, Agro – Rydzyna sp. z o.o. benefits from an exemption from the corporate income tax applicable to the company's business referred to in this permit.

The said exemptions are contingent in nature. The use of an exemption covering a business conducted in a Special Economic Zone may be the subject matter of an inspection by competent authorities. If the inspection reveals that the company fails or will fail in the future to satisfy all pertinent requirements, it may have the exemptions withdrawn and be required to pay overdue tax liabilities with interest. The provisions of the Special Economic Zones Act stipulate that the right to an exemption may be revoked if any of the following circumstances occurs:

- the company ceases to conduct its business within the area of the zone in respect of which the permit was issued,
- the company grossly fails to satisfy the conditions set forth in the permit,

- the company fails to remove any deficiencies ascertained during the inspection by the time limit for their removal specified in the summons issued by the minister in charge of the economy,
- the company transfers in any form the ownership of the assets to which the tax exemption applied within a period of less than 5 years from the date of their entry in the accounting records,
- any machinery or equipment is apportioned to conduct any business outside the zone,
- the company receives a refund of the incurred capital expenditures in any form,
- the company is put under liquidation or is declared bankrupt

The occurrence of these circumstances may cause that the amounts carried in the financial statements may be subject to change at a later date after they are ultimately determined by the tax authorities. The Group recognized an asset by virtue of unused tax credits in the total amount of PLN 20,511 thousand (in 2020: PLN 12,724 thousand). This asset was recognized on the basis of revenues forecasted for a 5-year period, reflecting projections about the future. The basis for calculating the maximum intensity of aid is 25% or 40% of eligible expenses.

Taxable income was calculated on the basis of the Group's long-term plans assuming an increase in sales and higher production capacities owing to ongoing investments.

15. Non-current assets classified as held for sale

As at 31 December 2021 and 31 December 2020, no non-current assets were classified as held for sale.

16. Earnings per share

Basic earnings per share shall be calculated by dividing consolidated net profit for the period attributable to ordinary owners of the parent by the weighted average number of ordinary shares outstanding during the period. The Group does not have any diluting instruments in place.

<i>(in thousands of PLN)</i>	<i>01.01.2021- 31.12.2021</i>	<i>01.01.2020- 31.12.2020</i>
Net profit attributable to ordinary shareholders	805,303	643,917
Number of shares used for the calculation (000s)	98,040	98,040
Earnings per share	8.21	6.57

17. Dividends distributed and proposed for distribution

In the period from 1 January 2021 to 31 December 2021 and in the comparable period, neither the parent company nor the subsidiaries distributed any dividends. The consolidated financial statements were prepared prior to the adoption of the resolution to distribute profit for the current year. The Company's Management Board will propose to allocate the profit for the year to the Company's supplementary capital.

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18. Property, plant and equipment

Year ended 31 December 2021

<i>(in thousands of PLN)</i>	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Fixed assets under construction</i>	<i>Advances towards fixed assets</i>	<i>Total</i>
Gross value as at 1 January 2021	3,166,463	562,407	51,143	361,199	248,441	-	4,389,653
Purchases	-	-	-	-	1,344,610	2,123	1,346,733
Sales	(1,024)	(3,071)	(1,105)	(279)	(631)	-	(6,110)
Liquidations	(2,170)	(7,639)	(2,439)	(34,261)	(5,953)	-	(52,462)
Transfer to fixed assets in connection with the purchase of the leased fixed assets	8,611	40,398	20,107	15,800	-	-	84,916
Transfer from fixed assets under construction	931,255	218,152	34,183	119,883	(1,303,473)	-	-
Gross value as at 31 December 2021	4,103,135	810,247	101,889	462,342	282,994	2,123	5,762,730
Accumulated depreciation and impairment losses as at 1 January 2021	222,412	214,081	16,503	187,177	-	-	640,173
Depreciation charge for the period	73,679	77,651	9,967	56,338	-	-	217,635
Sales	(8)	(2,492)	(828)	(234)	-	-	(3,562)
Liquidation	(75)	(6,601)	(2,922)	(34,236)	-	-	(43,834)
Transfer to fixed assets in connection with the purchase of the leased fixed assets	-	18,203	14,006	8,756	-	-	40,965
Accumulated depreciation and impairment losses as at 31 December 2021	296,008	300,842	36,726	217,801	-	-	851,377
Net value as at 1 January 2021	2,944,051	348,326	34,640	174,022	248,441	-	3,749,480
Net value as at 31 December 2021	3,807,127	509,405	65,163	244,541	282,994	2,123	4,911,353

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Year ended 31 December 2020

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	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Fixed assets under construction</i>	<i>Total</i>
Gross value as at 1 January 2020	2,512,379	351,442	16,788	249,606	134,283	3,264,498
Purchases	-	-	-	-	1,008,439	1,008,439
Sales	(97)	(1,202)	(2,148)	(140)	(2)	(3,589)
Liquidations	(13)	(4,324)	(21)	(5,919)	(2,140)	(12,417)
Transfer to fixed assets in connection with the purchase of the leased fixed assets	5,475	83,632	10,610	33,005	-	132,722
Transfer from fixed assets under construction	648,719	132,859	25,914	84,647	(892,139)	-
Gross value as at 31 December 2020	3,166,463	562,407	51,143	361,199	248,441	4,389,653
Accumulated depreciation and impairment losses as at 1 January 2020	165,051	116,538	8,362	127,729	-	417,680
Depreciation charge for the period	57,361	54,266	3,412	46,781	-	161,820
Sales	-	(768)	(2,027)	(107)	-	(2,902)
Liquidation	-	(3,850)	(21)	(5,852)	-	(9,723)
Transfer to fixed assets in connection with the purchase of the leased fixed assets	-	47,895	6,777	18,626	-	73,298
Accumulated depreciation and impairment losses as at 31 December 2020	222,412	214,081	16,503	187,177	-	640,173
Net value as at 1 January 2020	2,347,328	234,904	8,426	121,877	134,283	2,846,818
Net value as at 31 December 2020	2,944,051	348,326	34,640	174,022	248,441	3,749,480

The Group intends to incur in 2022 capital expenditures totaling roughly PLN 1,500 million.
Bank loan agreements entered into by the Group required the establishment of collateral on its assets (note 27).

19. Leases

The subject matter of the executed lease agreements is predominantly the perpetual usufruct right to land, store lease, equipment used in the stores and warehouses and passenger cars, refrigerated trailers and forklifts.

The term of lease to lease stores for an unspecified period has been determined as the average term of validity of agreements for a fixed period, i.e. 70 months since, according to the Group's judgment, there are material penalties economically dissuading both parties from terminating these contracts, while the term of 70 months reflects the highly probable average term of validity of a contract. The term of lease for the right of perpetual usufruct to land and lease agreements has been determined as the period for which the right is granted.

The Group also holds leases whose term of lease is 12 months or shorter and low value leases. The Group utilizes an exemption for short-term leases and leases in which the underlying asset has a low value.

The Group's lease liabilities are secure with the lessor's title of ownership to the leased object.

The carrying amounts of right-of-use assets and their change in the reporting period have been presented below:

Year ended 31 December 2021 (in thousands of PLN)	<i>PWUG**</i>	<i>Buildings and units</i>	<i>Machinery and equipment</i>	<i>Cars</i>	<i>Other fixed assets</i>	<i>Total</i>
As at 1 January 2021	44,719	44,598	37,556	50,465	7,200	184,538
Increases (new leases)	12,999	446	-	4,268	-	17,713
Revaluation*	-	5,590	-	-	-	5,590
Transfer to fixed assets in connection with the purchase of the leased fixed assets	(8,611)	-	(22,196)	(6,101)	(7,043)	(43,951)
Depreciation and amortization	(995)	(12,113)	(2,965)	(7,851)	(35)	(23,959)
As at 31 December 2021	48,112	38,521	12,395	40,781	122	139,931

Year ended 31 December 2020 (in thousands of PLN)	<i>PWUG**</i>	<i>Buildings and units</i>	<i>Machinery and equipment</i>	<i>Cars</i>	<i>Other fixed assets</i>	<i>Total</i>
As at 1 January 2020	38,066	48,766	81,260	59,445	24,207	251,744
Increases (new leases)	12,265	1,667	-	5,550	-	19,482
Revaluation*	-	4,067	-	-	-	4,067
Transfer to fixed assets in connection with the purchase of the leased fixed assets	(5,475)	-	(35,737)	(3,833)	(14,379)	(59,424)
Depreciation and amortization	(137)	(9,902)	(7,967)	(10,697)	(2,628)	(31,331)
As at 31 December 2020	44,719	44,598	37,556	50,465	7,200	184,538

* Revaluation of a liability in connection with the change of the rate.

**Perpetual usufruct right to land

The carrying amounts of lease liabilities and their change in the reporting period have been presented below:

<i>(in thousands of PLN)</i>	2021	2020
As at 1 January	110,125	156,238
Increases (new leases)	5,851	8,152
Revaluation*	5,590	4,067
Interest	2,313	3,609
Payments	(49,537)	(61,941)
As at 31 December	74,342	110,125
Current	27,721	42,249
Non-current	46,621	67,876

* Revaluation of a liability in connection with the change of the rate.

An analysis of the due and payable characteristics of lease liabilities has been presented in Note 35.3 Liquidity risk.

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Revenue, expense and profit and loss items resulting from leases captured in the consolidated statement of profit or loss have been presented below:

<i>PLN '000</i>	2021	2020
The cost of depreciation and amortization of right-of-use assets	23,959	31,331
Costs of interest under lease liabilities	2,313	3,609
Costs of short-term leases and low value asset leases (incorporated in the costs of sale)	2,086	4,625
Floating lease payments not recognized in the measurement of lease liabilities (included in selling expenses)	17,254	12,349
The total amount recognized in the consolidated statement of profit or loss / statement of comprehensive income	45,612	51,914

The total outflow of cash flows on account of lease agreements in 2021: PLN 68,877 thousand (in 2020: PLN 78,918 thousand).

20. Intangible assets

Year ended 31 December 2021 <i>(in thousands of PLN)</i>	<i>Goodwill</i>	<i>Trademarks</i>	<i>Other intangible assets</i>	<i>Total intangible assets</i>
Gross value as at 1 January 2021	64,989	17,025	38,508	120,522
Purchases	-	-	3,646	3,646
Liquidations	-	-	-	-
Gross value as at 31 December 2021	64,989	17,025	42,154	124,168
Depreciation and impairment losses as at 1 January 2021	-	-	21,472	21,472
Depreciation charge for the period	-	-	5,749	5,749
Liquidations	-	-	-	-
Depreciation and impairment losses as at 31 December 2021	-	-	27,221	27,221
Net value as at 1 January 2021	64,989	17,025	17,036	99,050
Net value as at 31 December 2021	64,989	17,025	14,933	96,947

Year ended 31 December 2020 <i>(in thousands of PLN)</i>	<i>Goodwill</i>	<i>Trademarks</i>	<i>Other intangible assets</i>	<i>Total intangible assets</i>
Gross value as at 1 January 2020	64,989	17,025	33,749	115,763
Purchases	-	-	4,997	4,997
Liquidations	-	-	(238)	(238)
Gross value as at 31 December 2020	64,989	17,025	38,508	120,522
Depreciation and impairment losses as at 1 January 2020	-	-	16,715	16,715
Depreciation charge for the period	-	-	4,995	4,995
Liquidations	-	-	(238)	(238)
Depreciation and impairment losses as at 31 December 2020	-	-	21,472	21,472
Net value as at 1 January 2020	64,989	17,025	17,034	99,048
Net value as at 31 December 2020	64,989	17,025	17,036	99,050

Other intangible assets consist of acquired licenses and software depreciated in accordance with the rules adopted by the Group.

Under its intangible assets, the Group presents goodwill and trademarks of an indefinite useful life. The Group considers the trademarks of “DINO” and “Agro-Rydzyňa” to be recognizable trademarks on the market and intends to use them in its operations during an indefinite period of time. Accordingly, the Group assumes that the useful life of these trademarks is indefinite and hence that they are not subject to depreciation.

According to the Management Board’s judgment, goodwill from the acquisition of Agro-Rydzyňa Sp. z o.o. and the values of the trademarks should be considered from the Group’s perspective as a whole and, accordingly, should be allocated to the cash generation center, which is the whole Group. Based on this assumption, a test was performed for impairment of intangible assets and goodwill in compliance with the requirements arising from IAS 36. The center’s recoverable amount was calculated by applying the useful value computed on the basis of cash flow projections derived from the financial budgets covering a period of five years, as approved by senior management. As part of the impairment tests, the recoverable amount of the cash flow generating center was compared to the center’s carrying amount.

The test demonstrated that as at 31 December 2021 there was no impairment in respect of goodwill or the trademarks.

Key assumptions applied to the calculation of the recoverable amount

- the center’s recoverable amount was calculated by applying the useful value computed on the basis of cash flow projections derived from the financial budgets covering a period of five years, as approved by senior management,
- the operating profit margin is based on the average values generated in the most recent period and the Group’s Strategy adopted for 2022-2026; the adopted average operating profit margin in the forecast period is 8% (in 2020: 8%);
- the rate of growth in the residual period was assumed at 2% (in 2020: 2%),
- a discount rate before the tax effect of 9.85% was applied to the cash flow forecasts (in 2020: 5.87%).

Sensitivity to changes in assumptions

Management is of the opinion that no reasonably possible change to any of the key assumptions described above will result in the carrying amount of the pertinent center to be equal to its recoverable amount.

21. Other non-financial assets

(in thousands of PLN)

	31.12.2021	31.12.2020
Fiscal receivables (including VAT, net of CIT)	41,679	69,951
Rents	922	1,113
Insurance	1,623	1,342
Other prepayments and accruals	3,488	967
Total	47,712	73,373
- current	47,712	73,367
- non-current	-	6

22. Inventories

(in thousands of PLN)

	31.12.2021	31.12.2020
Materials	46,884	52,570
Semi-finished products and production in progress	9,176	6,599
Finished products	11,617	9,274
Merchandise	1,305,786	806,704
Total inventories, at the lower of the following two values: purchase price (production cost) and net realizable value	1,373,463	875,147

The Group allocates the relevant portion of the costs of delivering goods to points of sales to specify the purchase price of inventories in the Group's commercial facilities. The Company conducts a periodic inventory of inventories. To restate them at the end of the period the inventory provision is estimated. As at 31 December 2021, the value of this provision was PLN 36,640 thousand (PLN 27,035 thousand as at 31 December 2020). As at 31 December 2021, the Group established an impairment loss to the net sales price of PLN 1,980 thousand (PLN 6 908 thousand as at 31 December 2020).

23. Trade and other receivables

(in thousands of PLN)

	31.12.2021	31.12.2020
Trade receivables from third parties	85,613	49,152
Trade receivables from related parties	587	426
Other receivables from third parties	57,812	37,209
Other receivables from related parties	-	35
Total receivables (net)	144,012	86,822
Impairment loss for expected credit losses	(1,175)	(443)
Gross receivables	145,187	87,265

The terms of the transactions with related parties are presented in note 33.

Other receivables comprise mainly investment receivables on payment cards. Trade receivables usually have a 14-day term of payment and include predominantly receivables from suppliers associated with marketing campaigns. The Group has an appropriate policy in place governing its transactions with business partners. For this reason, in the opinion of management, there is no additional credit risk extending beyond the level delineated by the impairment loss on uncollectible receivables applicable to the Group's trade receivables.

As at 31 December 2021, trade and other receivables of PLN 1,175 thousand (PLN 443 thousand as at 31 December 2020) were considered to be uncollectible receivables and thus covered by a provision for expected credit losses. The changes to the impairment loss for expected credit losses were as follows:

(in thousands of PLN)

	31.12.2021	31.12.2020
Impairment loss for expected credit losses as at 1 January	443	256
Increase	1,160	274
Utilization	(391)	(84)
Reversal	(37)	(3)
Impairment loss for expected credit losses as at 31 December	1,175	443

24. Cash and cash equivalents

Cash at bank bears interest at variable interest rates depending on the rate of interest on one-day bank deposits. Short-term deposits are made for various periods of between one day and one month, depending on the Group's current need for cash, and bear interest at the interest rates set for them. As at 31 December 2021, the fair value of cash and cash equivalents was PLN 418,615 thousand (as at 31 December 2020: PLN 480,418 thousand).

The balance of cash and cash equivalents shown in the consolidated statement of cash flows included the following items:

<i>(in thousands of PLN)</i>	31.12.2021	31.12.2020
Cash at bank and in hand	144,985	205,141
Cash en route	14,141	14,572
Short-term deposits	259,489	260,705
Total	418,615	480,418

25. Share capital

25.1. Share capital

	<i>31.12.2021</i>	<i>31.12.2020</i>
Ordinary series A shares (units)	98,040,000	98,040,000

25.1.1. Nominal value of shares

As at 31 December 2021 and 31 December 2020, all outstanding shares were paid up in full.

25.1.2. Major shareholders

31 December 2021

<i>Shareholder</i>	<i>Number of shares</i>	<i>Percentage of share capital</i>	<i>Percentage of votes at the Shareholder Meeting</i>
Tomasz Biernacki with a subsidiary	50,160,000	51.2%	51.2%
Other shareholders	47,880,000	48.8%	48.8%
Total	98,040,000	100.0%	100.0%

31 December 2020

<i>Shareholder</i>	<i>Number of shares</i>	<i>Percentage of share capital</i>	<i>Percentage of votes at the Shareholder Meeting</i>
Tomasz Biernacki with a subsidiary	50,160,000	51.2%	51.2%
Other shareholders	47,880,000	48.8%	48.8%
Total	98,040,000	100.0%	100.0%

26. Supplementary capital and retained earnings

Supplementary capital was created from profits generated by all member companies of the Group in previous financial years. During the year ended 31 December 2021, supplementary capital increased by PLN 644,398 thousand forming the distribution of profits generated by the Group's members. During the year ended 31 December 2020, supplementary capital increased by PLN 411,190 thousand forming the distribution of profits generated by the Group's members.

26.1. Retained earnings and restrictions on dividend distributions

The Group's retained earnings comprise undistributed profits of the Group's member companies. Under the retained earnings heading, the Group also recognizes effects of consolidation adjustments on capital. This type of capital also includes amounts that are not distributable, meaning that they are not permitted to be disbursed as dividends.

The statutory financial statements of Dino Polska S.A. have been prepared in compliance with Polish accounting standards. Any dividend may be distributed only based on the profit disclosed the standalone annual financial statements prepared for the purposes provided for in the Company's articles of association.

In compliance with the requirements of the Commercial Company Code, the parent company is required to create supplementary capital to cover future losses. At least 8% of the profit generated in any financial year, as disclosed in the standalone financial statements of the parent company, is transferred to this category of capital until it reaches at least one-third of the parent company's share capital. The use of supplementary capital or reserve capital is at the discretion of the Shareholder Meeting, albeit part of the supplementary capital equal to one-third of the share capital may be used only to cover the loss disclosed in the parent entity's standalone financial statements and may not be used for any other purposes.

Some of the Group companies are parties to loan agreements which entail certain restrictions on the disbursement of dividends, meaning that no dividend disbursements are permitted unless no financial ratios are breached as a result.

27. Interest-bearing loans, borrowings, bonds and lease liabilities

<i>(in thousands of PLN)</i>	31.12.2021	31.12.2020
Lease liabilities (note 19)	27,721	42,249
Current account overdrafts	7,525	-
Investment loans	188,644	216,713
Borrowing	-	155
Issue of debt securities	171,642	930
Current	395,532	260,047
Lease liabilities (note 19)	46,621	67,876
Investment loans	583,014	725,851
Issue of debt securities	450,000	419,936
Non-current	1,079,635	1,213,663

On 12 October 2021, the Company's Management Board adopted a resolution to issue, under the Company's Bond Issue Program of 21 September 2017 (as amended), which the Company reported in current report no. 19/2017, 200,000 secured bearer bonds, series 1/2021 with a par value of PLN 1,000 each and a total par value of PLN 200,000,000 ("Bonds"). The bonds are secured under sureties provided by selected Dino Polska Group companies. The issue price of the Bonds is equal to their par value. The bonds were offered for purchase pursuant to art. 33 item 1 of the Bond Act of 15 January 2015 in a manner that does not require the Company to prepare a prospectus or information memorandum. The Bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.2 percentage points per annum. The Bonds were issued on 20 October 2021 and registered in the securities depository run by the National Depository for Securities (KDPW S.A.). The redemption date of the Bonds was set for 20 October 2025.

On 17 September 2020, the Company's Management Board adopted a resolution to issue, under the Company's Bond Issue Program of 21 September 2017 (as amended) 250,000 secured bearer bonds, series 1/2020 with a par value of PLN 1,000 each and a total par value of PLN 250,000,000 ("Bonds"). The Bonds have been secured by sureties given by selected Dino Polska S.A. Group companies. The issue price of the Bonds is equal to their par value. The bonds were offered for purchase pursuant to art. 33 item 1 of the Bond Act of 15 January 2015 in a manner that did not require the Company to prepare a prospectus or information memorandum. The Bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.3 percentage points per annum. The date of maturity of the Bonds is 6 October 2023.

In 2020 the Company redeemed series 1/2017 bonds worth a total of PLN 100 million.

Lease agreements and loan agreements bear interest at a floating WIBOR rate plus a margin.

The following tables present material terms and conditions of loan agreements, including any collateral established on the Group's assets.

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No.	Type of liability	Date agreement signed	Outstanding liability as at 31 December 2021*	Interest rate	Date of repayment	Collateral type
			(thousands of PLN)			
1	Credit facility BANK 1	2012-01-26	7,525	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2	Credit facility BANK 1	2016-10-25	22,596	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
3	Credit facility BANK 1	2016-10-25	70,588	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
4	Credit facility BANK 1	2019-02-11	52,706	WIBOR + margin	2026-08-11	joint contractual mortgage, assignment of rights to an insurance policy
5	Credit facility BANK 1	2020-02-07	119,900	WIBOR + margin	2023-11-06	joint contractual mortgage, assignment of rights to an insurance policy
6	Credit facility BANK 1	2018-01-15	6,711	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
7	Credit facility BANK 1	2020-01-02	35,417	WIBOR + margin	2023-04-02	joint contractual mortgage, assignment of rights to an insurance policy
8	Credit facility BANK 1	2019-02-11	44,908	WIBOR + margin	2026-08-11	joint contractual mortgage, assignment of rights to an insurance policy
9	Credit facility BANK 1	2020-06-05	38,889	WIBOR + margin	2023-09-05	joint contractual mortgage, assignment of rights to an insurance policy
10	Credit facility BANK 2	2018-02-19	43,789	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
11	Credit facility BANK 2	2016-05-24	16,718	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
12	Credit facility BANK 3	2013-11-22	672	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
13	Credit facility BANK 3	2014-01-09	5,769	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
14	Credit facility BANK 3	2015-04-17	8,333	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
15	Credit facility BANK 3	2021-03-12	-	WIBOR + margin	2024-02-05	joint contractual mortgage, assignment of rights to an insurance policy
16	Credit facility BANK 4	2014-04-15	-	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
17	Credit facility BANK 4	2014-04-15	4,174	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
18	Credit facility BANK 4	2018-07-03	39,583	WIBOR + margin	2026-07-02	joint contractual mortgage, assignment of rights to an insurance policy
19	Credit facility BANK 4	2016-04-15	7,804	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
20	Credit facility BANK 4	2020-08-24	46,000	WIBOR + margin	2027-08-23	joint contractual mortgage, assignment of rights to an insurance policy
21	Credit facility BANK 4	2016-04-15	11,160	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
22	Credit facility BANK 5	2020-04-03	32,996	WIBOR + margin	2025-04-02	joint contractual mortgage, assignment of rights to an insurance policy
23	Credit facility BANK 5	2018-08-09	22,500	WIBOR + margin	2023-08-08	joint contractual mortgage, assignment of rights to an insurance policy
24	Credit facility BANK 5	2019-08-08	51,300	WIBOR + margin	2024-07-21	joint contractual mortgage, assignment of rights to an insurance policy
25	Credit facility BANK 5	2020-12-18	-	WIBOR + margin	2022-12-17	joint contractual mortgage, assignment of rights to an insurance policy
26	Credit facility BANK 5	2021-02-11	-	WIBOR + margin	2023-02-07	joint contractual mortgage, assignment of rights to an insurance policy
27	Credit facility BANK 6	2017-03-20	-	WIBOR + margin	2024-03-31	joint contractual mortgage, assignment of rights to an insurance policy
28	Credit facility BANK 6	2017-03-20	45,714	WIBOR + margin	2025-12-31	joint contractual mortgage, assignment of rights to an insurance policy
29	Credit facility BANK 6	2019-09-04	44,262	WIBOR + margin	2025-09-04	joint contractual mortgage, assignment of rights to an insurance policy
30	Credit facility BANK 6	2018-11-13	-	WIBOR + margin	2023-03-31	joint contractual mortgage, assignment of rights to an insurance policy
TOTAL			780,014			

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No.	Type of liability	Date agreement signed	Outstanding liability as at 31 December 2020* (thousands of PLN)	Interest rate	Date of repayment	Collateral type
1	Credit facility BANK 1	2012-01-26	-	WIBOR + margin	2021-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2	Credit facility BANK 1	2011-04-13	347	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
3	Credit facility BANK 1	2013-05-23	10,833	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
4	Credit facility BANK 1	2016-10-25	30,814	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
5	Credit facility BANK 1	2016-10-25	91,765	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
6	Credit facility BANK 1	2019-02-11	64,000	WIBOR + margin	2026-08-11	joint contractual mortgage, assignment of rights to an insurance policy
7	Credit facility BANK 1	2020-02-07	145,700	WIBOR + margin	2023-11-06	joint contractual mortgage, assignment of rights to an insurance policy
8	Credit facility BANK 1	2018-01-15	9,102	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
9	Credit facility BANK 1	2020-01-02	43,750	WIBOR + margin	2023-04-02	joint contractual mortgage, assignment of rights to an insurance policy
10	Credit facility BANK 1	2019-02-11	54,790	WIBOR + margin	2026-08-11	joint contractual mortgage, assignment of rights to an insurance policy
11	Credit facility BANK 1	2020-06-05	47,222	WIBOR + margin	2023-09-05	joint contractual mortgage, assignment of rights to an insurance policy
12	Credit facility BANK 2	2018-02-19	51,296	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
13	Credit facility BANK 2	2016-05-24	19,513	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
14	Credit facility BANK 3	2013-11-22	1,038	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
15	Credit facility BANK 3	2012-03-08	1,513	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
16	Credit facility BANK 3	2014-01-09	8,955	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
17	Credit facility BANK 3	2015-04-17	10,897	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
18	Credit facility BANK 3	2016-08-16	2,721	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
19	Credit facility BANK 3	2016-11-04	-	WIBOR + margin	2022-10-06	joint contractual mortgage, assignment of rights to an insurance policy
20	Credit facility BANK 3	2011-12-14	747	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
21	Credit facility BANK 3	2016-08-16	15,770	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
22	Credit facility BANK 4	2020-04-03	38,050	WIBOR + margin	2025-04-02	joint contractual mortgage, assignment of rights to an insurance policy
23	Credit facility BANK 4	2018-08-09	30,000	WIBOR + margin	2023-08-08	joint contractual mortgage, assignment of rights to an insurance policy
24	Credit facility BANK 4	2019-08-08	64,500	WIBOR + margin	2024-07-21	joint contractual mortgage, assignment of rights to an insurance policy
25	Credit facility BANK 4	2018-08-09	-	WIBOR + margin	2021-08-08	joint contractual mortgage, assignment of rights to an insurance policy
26	Credit facility BANK 5	2014-04-15	-	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
27	Credit facility BANK 5	2014-04-15	12,506	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
28	Credit facility BANK 5	2018-07-03	47,917	WIBOR + margin	2026-07-02	joint contractual mortgage, assignment of rights to an insurance policy
29	Credit facility BANK 5	2016-04-15	10,938	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
30	Credit facility BANK 5	2020-08-24	-	WIBOR + margin	2027-08-23	joint contractual mortgage, assignment of rights to an insurance policy
31	Credit facility BANK 5	2016-04-15	15,616	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
32	Credit facility BANK 6	2017-03-20	-	WIBOR + margin	2021-03-31	joint contractual mortgage, assignment of rights to an insurance policy
33	Credit facility BANK 6	2017-03-20	57,143	WIBOR + margin	2025-12-31	joint contractual mortgage, assignment of rights to an insurance policy
34	Credit facility BANK 6	2019-09-04	56,066	WIBOR + margin	2025-09-04	joint contractual mortgage, assignment of rights to an insurance policy
35	Credit facility BANK 6	2018-11-13	-	WIBOR + margin	2020-11-13	statement of submitting to enforcement under art. 777
36	Credit facility BANK 7	2018-10-03	-	WIBOR + margin	2021-10-01	joint contractual mortgage, assignment of rights to an insurance policy
37	Borrowing	2016-02-24	155	WIBOR + margin	2021-02-28	bill of exchange
TOTAL			943,664			

* Balance of liabilities net of commissions. In addition, the liabilities for loans and lease agreements have security interests in the form of blank bills of exchange.

28. Provisions for employee benefits

The Group's entities pay retiring employees retirement severance benefits in the amount defined by the Labor Code. Consequently the Group, based on a valuation prepared by a professional actuary firm, recognizes a provision for the current value of the retirement severance benefit liabilities.

Costs of contributions to EPS have been depicted in note 13.3. *Costs of employee benefits.*

A summary of the benefits, provision amount and reconciliation presenting the changes of the balance during the financial period is presented in the table below:

<i>(in thousands of PLN)</i>	<i>Retirement and disability benefits</i>	<i>Total</i>
Opening balance as at 1 January 2021	4,176	4,176
Current service cost	859	859
Actuarial gains and losses	2,069	2,069
Benefits paid	(383)	(383)
Interest costs	50	50
Closing balance as at 31 December 2021	6,771	6,771
Short-term provisions	1,944	1,944
Long-term provisions	4,827	4,827

<i>(in thousands of PLN)</i>	<i>Retirement and disability benefits</i>	<i>Total</i>
Opening balance as at 1 January 2020	2,850	2,850
Current service cost	1,961	1,961
Actuarial gains and losses	(362)	(362)
Benefits paid	(333)	(333)
Interest costs	60	60
Closing balance as at 31 December 2020	4,176	4,176
Short-term provisions	1,332	1,332
Long-term provisions	2,844	2,844

The main assumptions made to measure the employee benefits as at the reporting date are as follows:

	31.12.2021	31.12.2020
Discount rate (%)	3.60%	1.20%
Anticipated inflation rate	2.50%	2.50%
Employee turnover	20.70%	21.20%
Anticipated salary increase rate	3.50%	3.50%
Weighted average duration of the old-age and disability severance pay liabilities	5.27	6.06

Sensitivity analysis

Change of the adopted discount rate by 0.5 percentage points:

	<i>Increase (thousands of PLN)</i>	<i>Decrease (thousands of PLN)</i>
31 December 2021		
Impact on the defined benefit liabilities	(173)	184
31 December 2020		
Impact on the defined benefit liabilities	(124)	129

Change of the salary increase rate by 0.5 percentage points:

	<i>Increase (thousands of PLN)</i>	<i>Decrease (thousands of PLN)</i>
31 December 2021		
Impact on the defined benefit liabilities	196	(186)
31 December 2020		
Impact on the defined benefit liabilities	127	(124)

29. Trade and other payables and deferred revenue

29.1. Trade and other financial payables (current)

<i>(in thousands of PLN)</i>	31.12.2021	31.12.2020
Liabilities to related entities	9,292	1,857
Liabilities to other entities	1,074,132	740,925
Liabilities to other entities in factoring, including programs to finance suppliers	924,631	601,969
Trade payables	2,008,055	1,344,751
Employee payroll liabilities	109,949	84,907
Investment liabilities to related parties	178,173	120,319
Investment liabilities to other parties	46,868	63,154
Other payables	3,365	1,854
Other liabilities	338,355	270,234
Total	2,346,410	1,614,985

Rules and terms of payment of the aforementioned financial liabilities:

The terms of the transactions with related entities are presented in note 33 of notes and explanations.

The trade payables are carried as at the balance sheet date based on the adjusted purchase price (note 10.17) and settled according to diversified terms ranging from 14 to 60 days, depending on the subject matter of the transaction. The Group classifies reverse factoring liabilities as trade payables because, in the Management Board's view, no significant changes have occurred in the nature of these liabilities in connection with their transfer to factoring.

Other liabilities are usually settled with a 30-day payment term.

29.2. Other non-financial liabilities

(in thousands of PLN)

	31.12.2021	31.12.2020
Corporate income tax	93,017	80,509
VAT	8,571	2,503
Personal income tax	10,910	10,431
Social security liabilities	82,432	63,011
EPS liabilities	1,689	1,249
Other	4,189	3,164
Liabilities on taxes, customs duties, social security and other dues	200,808	160,867

29.3. Accruals and deferred revenue

(in thousands of PLN)

	31.12.2021	31.12.2020
Unused holiday leaves	59,013	43,433
Audit of financial statements	404	149
Other	1,567	0
Accruals and prepaid costs	60,984	43,582
Government grants	14	72
Accruals and deferred revenue	14	72
Total	60,998	43,654
- current	60,993	43,640
- non-current	5	14

30. Notes to the consolidated statement of cash flows

The causes of the differences between the changes resulting from the consolidated statement of financial position and the changes resulting from the consolidated statement of cash flows are presented in the tables below:

(in thousands of PLN)

	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020
Movement in receivables resulting from the consolidated statement of financial position	(57,190)	(8,699)
Movement in receivables on the sale of fixed assets	4,038	(95)
Movement in state budget receivables	28,272	(34,407)
Movement in receivables in the consolidated statement of cash flows	(24,880)	(43,201)

(in thousands of PLN)

	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020
Movement in liabilities resulting from the consolidated statement of financial position	772,823	562,895
Balance sheet movement of loans and borrowings	163,536	(226,259)
Movement in lease liabilities	35,783	46,113
Movement in investment settlements	(31,185)	(22,930)
Movement in settlements regarding issue of debt securities	(200,000)	(150,000)
Movement in income tax liabilities	(12,508)	(11,903)
Movement in liabilities in the consolidated statement of cash flows	728,449	197,916

(in thousands of PLN)

	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020
Movement in provisions in the consolidated statement of financial position	4,227	(1,628)
Movement in deferred tax liabilities	(1,632)	2,954
Movement in provisions in the consolidated statement of cash flows	2,595	1,326

31. Investment liabilities

In the presented reporting period, liabilities on account of purchases of property, plant and equipment included purchases related to the further expansion of the Dino Group store network and expansion of warehouse space. The Group had off-balance sheet liabilities arising from concluded preliminary agreements in the amount of PLN 723,502 thousand (as at 31 December 2020: PLN 750,400 thousand).

32. Contingent liabilities

32.1. Litigation

As at 31 December 2021 and 31 December 2020 the Group was a party to several legal actions which, in the Management Board's opinion, did not cause any major claims.

32.2. Tax settlements

Tax settlements and other areas of activity subject to regulation (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines. Lack of references to established laws in Poland results in unclarities and inconsistencies in the prevailing regulations. Frequent differences of opinions as to legal interpretation of the tax regulations, both within the state bodies, and between the state bodies and enterprises, give rise to areas of uncertainty and conflicts.

Tax settlements may be subject to inspection for a period of five years, starting from the end of the year of the tax payment. As a result of such inspections, the Group's tax settlements may be increased by additional tax liabilities. In the Management Board's opinion, as at 31 December 2021 and 31 December 2020, there were no grounds to recognize additional provisions for identified and measurable tax risk.

33. Information on related parties

The tables below present the total amounts of transactions concluded with related parties for the reporting periods subject to these consolidated financial statements:

<i>Related party</i>		<i>Sale to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>
Key managers (Management Board members) of the Group	2021	-	-	-	-
	2020	-	-	-	-
Supervisory Board	2021	-	-	-	-
	2020	-	-	-	-
		<i>Sale to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>
<i>Parties related through the majority owner</i>					
Zakłady Mięsne "Biernacki" Tomasz Biernacki	2021	70	383	3	14
	2020	6	342	3	14
BT Development BT Kapital sp. z o.o. sp.k.	2021	16	6,113	3	575
	2020	44	4,715	1	40
BT Nieruchomości sp. z o.o.	2021	-	464	-	71
	2020	-	318	-	8
BT Kapital sp. z o.o.					

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	2021	184	1	42	-
	2020	147	-	42	-
<i>Krot Invest KR Inżynieria sp. z o.o. SKA</i>	2021	1,656	640,955	493	176,953
	2020	858	407,901	351	119,724
<i>Krot Invest 2 KR Inżynieria sp. z o.o. sp.k.</i>	2021	4	37,998	-	8,488
	2020	78	24,303	-	2,142
<i>KR Inżynieria sp. z o.o.</i>	2021	1	-	-	-
	2020	1	-	-	-
<i>ZR 1 sp. z o.o.</i>	2021	2	2,452	-	251
	2020	1	1,763	18	58
<i>ZR 2 sp. z o.o.</i>	2021	876	3,655	46	352
	2020	78	2,406	46	79
<i>ZR 3 sp. z o.o.</i>	2021	3	3,315	-	341
	2020	39	2,375	-	-
<i>ZR 4 sp. z o.o.</i>	2021	2	3,163	-	253
	2020	8	2,404	-	-
<i>Zielony Rynek 5 BT Kapitał sp. z o.o. sp.k.</i>	2021	-	3	-	-
	2020	-	29	-	-
<i>Zielony Rynek 6 BT Kapitał sp. z o.o. sp.k.</i>	2021	1	425	-	34
	2020	-	466	-	7
<i>Mleczarnia Naramowice sp. z o.o.</i>	2021	4	95	-	10
	2020	-	40	-	-
<i>Parties related through key personnel</i>					
<i>Agrofirma Spółdzielcza</i>	2021	14	221	-	6
	2020	10	195	-	-
<i>TBE sp. z o.o.</i>	2021	5	1,886	-	117
	2020	5	1,096	-	104

33.1. Terms of related party transactions

The terms of the transactions concluded by the Group with other related entities in the year ended 31 December 2021 and as at 31 December 2020 were concluded on an arm's length basis.

33.2. Loans to Management Board members

As at 31 December 2021 and 31 December 2020 the Group did not grant any loans to Management Board members.

33.3. Other transactions with participation of Management Board members

As at 31 December 2021 and 31 December 2020 there were no transactions with the participation of Management Board members other than those listed in these consolidated financial statements.

33.4. Remuneration for the Group's senior management

<i>(in thousands of PLN)</i>	01.01.2021-31.12.2021	01.01.2020-31.12.2020
Parent company's Management Board		
Short-term employee benefits (salaries)	2,373	3,027
Parent company's Supervisory Board		
Short-term employee benefits (salaries)	346	369
Total	2,719	3,396

Mr. Szymon Piduch received additional compensation of PLN 163 thousand for advisory services in the period from July to December 2020 and 107 thousand PLN in 2021.

34. Information on the audit firm's fees

The table below presents the fee charged by the entity authorized to audit the financial statements paid or due for the year ended 31 December 2021 and 31 December 2020 split by the types of services:

<i>Type of services (in thousands of PLN)</i>	01.01.2021-31.12.2021	01.01.2020-31.12.2020
Mandatory audit of financial statements	499	410
Review of the interim financial statements	110	71
Other services	-	-
Tax advisory services	-	-
Total	609	481

* Refers to Ernst & Young Audyt Polska spółka z ograniczoną odpowiedzialnością sp. k.

35. Objectives and principles of managing financial risk

The main financial instruments used by the Group include bank loans, borrowings, bond issue, lease agreements, cash and current deposits. The main objective of these instruments is to raise funding for Group's activities. The Group also holds various other financial instruments, such as trade receivables and payables, which arise directly from its activities.

The rule followed by the Group currently and throughout the whole period covered by the consolidated financial statements is to refrain from dealing in financial instruments.

The main types of risk arising from the Group's financial instruments include interest rate risk, liquidity risk, and credit risk. The parent company's Management Board verifies and agrees the principles of managing each type of risk – these principles are discussed briefly below.

35.1. Interest rate risk

The Group's exposure to the risk arising from changes in interest rates refers primarily to non-current financial liabilities. The Company does not hedge its investments and liabilities using derivative financial instruments.

Interest rate risk - sensitivity to changes

The table below presents sensitivity of the profit (loss) before tax to the reasonably possible changes in interest rates, assuming that the other factors do not change (in connection with floating interest rate liabilities). The impact on the Group's equity or total comprehensive income is not presented.

Year ended 31 December 2021	<i>Increase/decrease by percentage points</i>	<i>Impact on profit or loss before tax</i>
PLN	+1	(13,100)
PLN	-1	13,100

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Year ended 31 December 2020	<i>Increase/decrease by percentage points</i>	<i>Impact on profit or loss before tax</i>
PLN	+1	(10,689)
PLN	-1	10,689

The table below presents the carrying amount of the Group's financial instruments exposed to interest rate risk by age category

31 December 2021	<i>< 1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>> 5 years</i>	<i>Total</i>
Lease liabilities	27,721	32,842	5,172	8,607	74,342
Bank loans and borrowings	196,444	467,090	110,480	6,000	780,014
Outstanding securities	7,018	634,412	-	-	641,430

31 December 2020	<i>< 1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>> 5 years</i>	<i>Total</i>
Lease liabilities	42,249	51,329	7,332	9,215	110,125
Bank loans and borrowings	217,163	513,677	212,824	-	943,664
Outstanding securities	6,384	429,429	-	-	435,813

Lease liabilities and bank loans bear interest at a floating interest rate. The interest rate on variable interest rate financial instruments is updated in periods shorter than one year. The Group's other financial instruments which are not presented in the tables above do not bear interest and hence are not subject to interest rate risk.

35.2. Credit risk

Transactions effected by the Group are settled mainly in cash. Credit risk pertains to supplier marketing support transactions. Since marketing support services pertain to suppliers who are at the same time the Group's buyers, the credit risk is insignificant.

35.3. Liquidity risk

The Group monitors the liquidity risk using a periodic liquidity planning tool. The tool takes into account the maturities of both investments and financial assets (e.g. the amount of receivables, other financial assets) and projected cash flows from operating activities.

The Group aims to maintain a balance between continuity and flexibility of financing by using different financing sources, such as overdrafts, bank loans, other loans, bond issues, lease contracts and reverse factoring. The Group utilizes reverse factoring agreements in reference to its liabilities to manage liquidity whereby it submits invoices for purchases from selected suppliers for the purpose of factoring. The Group mitigates the liquidity risk ensuing from the usage of reverse factoring agreements by collaborating with several factors and maintaining unused factoring limits totaling PLN 487.5 million as at 31 December 2021 (as at 31 December 2020: PLN 796.5 million).

Dino Group's EBITDA was PLN 1,271,336 thousand in 2021 and PLN 1,036,005 thousand in 2020. The Dino Group defines EBITDA as operating profit (in 2021: PLN 1,023,993 thousand, in 2020: PLN 837,859 thousand) plus depreciation and amortization (in 2021: PLN 247,343 thousand, in 2020: PLN 198,146 thousand). EBITDA is not a measure defined in IFRS and may be defined in different ways by various market entities.

The tables below present the Group's financial liabilities as at 31 December 2021 and as at 31 December 2020 according to the maturity date according to contractual undiscounted payments.

31 December 2021	<i>On demand</i>	<i>Up to 1 year</i>	<i>From 1 year to 5 years</i>	<i>Over 5 years</i>	<i>Total</i>
Interest-bearing loans and borrowings	-	221,387	562,474	6,099	789,960
Outstanding securities	-	171,642	450,000	-	621,642
Lease liabilities	-	30,128	41,333	8,780	80,241
Trade and other payables	-	2,347,968	-	-	2,347,968
Total	-	2,771,125	1,053,807	14,879	3,839,811

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31 December 2020	<i>On demand</i>	<i>Up to 1 year</i>	<i>From 1 year to 5 years</i>	<i>Over 5 years</i>	<i>Total</i>
Interest-bearing loans and borrowings	-	229,509	528,555	215,751	973,815
Outstanding securities	-	930	419,936	-	420,866
Lease liabilities	-	43,956	60,820	9,307	114,083
Trade and other payables	-	1,616,505	-	-	1,616,505
Total	-	1,890,900	1,009,311	225,058	3,125,269

36. Financial instruments

36.1. Fair value of individual classes of financial instruments

In the Group's opinion, the fair value of cash, short-term deposits, trade receivables, trade payables, bank loans, other loans, bonds and finance lease liabilities does not deviate from carrying amounts.

(in thousands of PLN)

	<i>Carrying amount</i>	
	31.12.2021	31.12.2020
Cash and cash equivalents	418,615	480,418
Trade receivables	144,012	86,822
Debt instruments measured at amortized cost	562,627	567,240

(in thousands of PLN)

	<i>Carrying amount</i>	
	31.12.2021	31.12.2020
Interest-bearing loans and borrowings	583,014	725,851
Issue of debt securities	450,000	419,936
Lease liabilities	46,621	67,876
Non-current financial liabilities – carried at amortized cost	1,079,635	1,213,663
Interest-bearing loans and borrowings	196,169	216,868
Issue of debt securities	171,642	930
Lease liabilities	27,721	42,249
Trade payables	1,083,424	742,782
Trade payables in factoring, including supplier finance programs	924,631	601,969
Current financial liabilities – carried at amortized cost	2,403,587	1,604,798

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36.2. Revenue, expense and profit and loss items captured in the statement of profit or loss by financial instrument category

Year ended 31 December 2021

<i>Financial assets</i>	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (creation) of impairment losses for expected credit losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
Trade receivables	843	121	-	-	-	-	964
Cash and cash equivalents	155	-	-	-	-	-	155
Total	998	121	-	-	-	-	1,119

<i>Financial liabilities</i>	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (recognition) of impairment losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
Interest-bearing loans and borrowings	(15,329)	-	-	-	-	-	(15,329)
Lease liabilities	(2,313)	-	-	-	-	-	(2,313)
Trade payables	(20,434)	-	(1,123)	-	-	-	(21,557)
Liabilities by virtue of securities issues	(7,812)	-	-	-	-	-	(7,812)
Other financial liabilities	(815)	-	-	-	-	-	(815)
Total	(46,703)	-	(1,123)	-	-	-	(47,826)

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Year ended 31 December 2020

<i>Financial assets</i>	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (creation) of impairment losses for expected credit losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
Trade receivables	676	2,104	-	-	-	1	2,781
Cash and cash equivalents	456	-	-	-	-	-	456
Total	1,132	2,104	-	-	-	1	3,237

<i>Financial liabilities</i>	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (recognition) of impairment losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
Interest-bearing loans and borrowings	(19,545)	-	-	-	-	-	(19,545)
Lease liabilities	(3,609)	-	-	-	-	-	(3,609)
Trade payables	(18,139)	-	(271)	-	-	-	(18,410)
Liabilities by virtue of securities issues	(6,859)	-	-	-	-	-	(6,859)
Other financial liabilities	(489)	-	-	-	-	-	(489)
Total	(48,641)	-	(271)	-	-	-	(48,912)

37. Capital management

The main objective of the Group's capital management is to maintain a good credit rating and safe capital ratios which will support the Group's operating activities and increase the shareholder value. The Group manages the capital structure and introduces adjustments thereto as a result of changes in the economic conditions. To maintain or adjust the capital structure, the Group may change the dividend payout to shareholders, return the capital to shareholder or issue new bonds. In the years ended 31 December 2021 and 31 December 2020 no changes were made to the objectives, rules and processes in place in this area. The Group monitors the level of capital using the leverage ratio, calculated as the ratio of net financial and trade liabilities to the sum of capital plus net financial and trade liabilities. The net financial and trade liabilities include interest-bearing loans and borrowings, bonds, trade payables and other payables, minus cash and cash equivalents.

<i>(in thousands of PLN)</i>	31.12.2021	31.12.2020
Interest-bearing loans and borrowings, outstanding securities and lease liabilities	1,400,825	1,473,710
Trade and other payables	2,454,201	1,695,343
Minus cash and cash equivalents	(418,615)	(480,418)
Net financial and trade liabilities	3,436,411	2,688,635
Total equity	3,070,190	2,266,563
Equity and net financial and trade liabilities	6,506,601	4,955,198
Leverage ratio	53%	54%

38. Employment structure

The headcount in the Group in the years ended 31 December 2021 and 31 December 2020 was as follows:

	<i>Year ended</i> 31.12.2021	<i>Year ended</i> 31.12.2020
Parent Company's Management Board	3	3
White-collar employees	2,560	1,796
Blue-collar employees	29,863	24,041
Total	32,426	25,840

39. Events after the reporting period

On 14 February 2022 the Management Board of Dino Polska S.A. made the decision to commence the construction of the Company's new distribution center in the town of Kaliska in the Kujawy and Pomeranian Region. In connection with this investment the Company will enter into a number of contracts with entities unrelated to the Company that specialize in the execution of such investments, including the entity that will play the role of general contractor. This investment will involve the comprehensive construction and fit-out of the freezer, refrigerated storage area, controlled-temperature warehouses, dry goods warehouse and social and office space with the accompanying technical infrastructure, internal roads and parking spots. The total planned warehouse space of this distribution center will be roughly 45 thousand square meters. The (net) estimated investment expenditures are approximately PLN 130 million and will be financed using the Company's own funds and bank loans. The purpose of the new distribution center is to handle the deliveries of goods to the growing number of Dino stores and support the network's ongoing geographic expansion. The Company expects to complete the investment project at the turn of 2022 and 2023.

On 23 February 2022 Mr. Michał Muskała, in consultation with the Company's Management Board and Supervisory Board, tendered his resignation from serving in the capacity of a Management Board member of Dino Polska S.A. with effect as of the moment of its submission. Michał Muskała justified his resignation by the need to focus on his work as a Management Board Member in Dino Polska S.A.'s subsidiaries responsible for the investment processes of the Dino Polska Group, especially for the construction of distribution centers. Michał

Muskała will continue to serve in the capacity of a Management Board Member in the following companies belonging to the Dino Polska Group: Centrum Wynajmu Nieruchomości Sp. z o.o., Centrum Wynajmu Nieruchomości 1 S.A., Centrum Wynajmu Nieruchomości 2 S.A., Centrum Wynajmu Nieruchomości 3 S.A., Centrum Wynajmu Nieruchomości 4 S.A., Centrum Wynajmu Nieruchomości 5 S.A., Centrum Wynajmu Nieruchomości 6 S.A.

In connection with the political and economic situation in Ukraine the Group's Management Board analyzes its impact on the Group's business on an ongoing basis. As of the date of publishing the financial statements no material threat to the Company's and its subsidiaries' business has been identified.

In the opinion of the Management Board, there were no other material events after the balance sheet date requiring disclosure in the consolidated financial statements.